International Trade Fundamentals

Course 2 — International Trade and Freight Forwarding Fundamentals · Module 4 · Teaching content for the Theory Builder

Review copy. Each lesson lists its blocks in entry order: enter each block's heading and body into the Theory Builder; enter practice questions as Lesson Checks; enter the module assessment via Configure assessment. Grey appendix sections are audit notes, not for entry.

Lesson 4.1 — Importing, Exporting, and Transit Trade

Summary

This lesson introduces the three major forms of international goods movement: importing, exporting, and transit trade. Learners will understand how goods move between countries, the purposes of these trade activities, the responsibilities of participating businesses, and the basic regulatory and logistical requirements involved in cross-border transactions.

Learning objectives

- Define international trade and explain its importance to national economies and businesses.
- Distinguish between importing, exporting, and transit trade.
- Identify the major participants involved in international trade transactions.
- Explain the basic processes involved in importing and exporting goods.
- Describe the purpose and characteristics of transit trade.
- Identify common documents and regulatory requirements associated with cross-border trade.
- Explain the relationship between international trade and logistics operations.
- Recognise common challenges associated with international goods movement.

Key terms

International Trade — The exchange of goods and services between individuals, businesses, or organisations located in different countries.

Import — The bringing of goods into a country's customs territory from another country or territory, subject to applicable customs laws.

Export — The sending of goods from one country or customs territory to another.

Transit Trade — The movement of goods through a country or customs territory under applicable transit arrangements, generally without the goods being entered for domestic consumption.

Importer — A person or organisation responsible for bringing goods into a country in accordance with applicable import requirements.

Exporter — A person or organisation that sends or sells goods to a destination outside its country or customs territory.

Country of Origin — The country in which goods are considered to have originated under applicable rules of origin.

Country of Destination — The country to which goods are intended to be delivered.

Customs Territory — A geographical area within which a particular set of customs laws applies.

Trade Barrier — A government-imposed measure, such as a tariff, quota, or regulatory restriction, that affects international trade.

Customs Declaration — An official statement submitted to customs providing information required for a particular customs procedure.

Teaching content

KEY CONCEPT

Why countries trade

International trade is the exchange of goods and services between individuals, businesses, or organisations located in different countries. Course 1 looked at international logistics, the movement of goods across borders; this lesson turns to the trade that drives those movements: the forms it takes, the parties involved, and the formalities each form requires.

Countries trade with each other for three basic reasons.

1. Specialisation. Every country concentrates on producing the goods it is suited for, by climate, natural resources, skills, and industry. Ghana's position as a producer of cocoa, gold, timber, and shea products, and its reliance on imported rice, machinery, vehicles, and pharmaceuticals, illustrate the pattern; both lists are illustrative examples, not statistics.

2. Availability. Some goods cannot be produced locally in useful quantities, or cannot be produced at all. A country without the climate for a crop, the minerals for a metal, or the plants for a medicine must obtain those goods from abroad or do without them.

3. Price. Even where a good could be produced locally, producing it in another country can be cheaper. Buying from the cheaper source frees money for other uses.

Trade matters at two levels. For national economies, exports earn the income that pays for imports, trade supports employment in farms, factories, ports, and transport, and duties on legitimate trade are a source of government revenue. For businesses, trade widens the market

beyond the national border: a seller reaches customers abroad, and a buyer sources better or cheaper inputs.

Every cross-border transaction has two sides at once. From the country receiving the goods, the movement is an import; from the country sending them, it is an export. Some goods cross a country without stopping at all, a third form, transit trade. The next blocks define each form precisely, because the differences decide who does what, where, and at what cost.

KEY CONCEPT

Customs territories, country of origin, and country of destination

Three terms locate any trade transaction on the map.

A customs territory is a geographical area within which a particular set of customs laws applies. A customs territory usually follows a country's borders, but not always: a group of countries can share one customs territory with a single set of external customs rules, which is why the term exists separately from the country itself.

The country of origin is the country in which goods are considered to have originated under applicable rules of origin. Origin is where the goods were grown, produced, or substantially transformed, not where they were shipped from: rice grown and milled in Thailand keeps its Thai origin even if carried first to Singapore and shipped onward from there. Origin matters because duties, trade statistics, and preferential treatment are all decided against it.

The country of destination is the country to which the goods are intended to be delivered. The documents of every shipment name both: the origin, which the certificates attest, and the destination, where the goods will be entered.

The line that matters most in practice is the boundary of the customs territory. While goods are inside their own territory they move under one set of rules. The moment they cross outward, the exporting territory's formalities apply before they may leave. The moment they cross inward anywhere, they come under the control of that territory's customs authority, and they remain under that control until the territory's rules for them are completed, whether those rules are import, export, transit, or another customs procedure. Which procedure applies is not decided by the goods or by geography alone; it is decided by what the goods are declared for, and that choice is the subject of the blocks that follow.

KEY CONCEPT

Importing and the importer

An import is the bringing of goods into a country's customs territory from another country or territory, subject to applicable customs laws. The importer is the person or organisation responsible for bringing goods into a country in accordance with applicable import requirements.

From the importer's perspective, the definition becomes a business activity: importing means buying goods from abroad for use or resale in the importer's own market. A trading company buying rice for its shelves, a construction firm buying excavators for its sites, a pharmacy wholesaler buying medicines for hospitals, all are importing.

The defining feature of an import is entry for home consumption. Goods that import are declared to customs as goods that will stay in the country's economy: they will be sold, used, or processed there. On that entry the country assesses the duties and taxes its law provides, and once released the goods become part of the local market.

The importer carries the responsibilities on the destination side of the transaction.

1. Ensuring the import declaration is accurate: the goods, their value, their origin, and their classification.

2. Paying, or arranging payment of, the duties and taxes assessed on the import, where they apply.

3. Meeting any import requirements that apply to the goods, such as permits, standards, or additional certificates for restricted or regulated products.

4. Organising or paying for arrival handling and inland delivery, according to the trade terms agreed in the sales contract, a subject the next lessons take up.

Importing is not only for traders: manufacturers import raw materials and spare parts, and farms import fertiliser and equipment. Wherever goods are brought into the customs territory to be used or consumed there, the movement is an import, and someone must stand behind it as the importer.

KEY CONCEPT

The import process and customs formalities

The previous module traced a journey of goods from order to delivery. This block revisits only the importer's side of that journey, where the trade type shows. The basic process of importing runs as follows.

1. Before ordering. The importer checks what the goods require: whether a permit or certificate is needed, what the classification means for duty, and who, under the agreed trade terms, is responsible for each stage.

2. Shipment and documents. The seller ships, and the commercial and transport documents, invoice, packing list, transport document, and certificates, begin their journey towards the importer's side.

3. Pre-arrival declaration. Modern practice lodges the customs declaration and its data before the goods arrive, letting customs analyse the shipment's risk in advance and release goods much faster on arrival.

4. The customs declaration. A customs declaration is an official statement submitted to customs providing the information required for a particular customs procedure. The import declaration describes the goods, their value, their origin, and their classification, and is the basis on which customs assesses duties and taxes, usually lodged by the importer or a customs representative acting for the importer.

5. Risk assessment and inspection. Customs does not inspect everything: risk-based selection channels declarations, releasing some on the documents alone, sending some to a document check, and physically inspecting only those presenting a risk.

6. Payment and release. When the declaration is in order and the assessed duties and taxes are paid, customs releases the goods from its control.

7. Collection and delivery. The released goods are collected from the port, airport, or border and delivered to the importer's premises.

Formalities are increasingly lodged through a single window: one entry point through which a trader submits standardised information and documents once, to satisfy all import, export, and transit regulatory requirements, instead of repeating them to each agency. In Ghana, the trade single window operates through ICUMS, the national customs management system, which processes declarations electronically at the country's ports of entry.

KEY CONCEPT

Exporting and the exporter

An export is the sending of goods from one country or customs territory to another. The exporter is the person or organisation that sends or sells goods to a destination outside its country or customs territory.

From the perspective of the exporter, exporting means selling goods abroad: finding a buyer in another country, agreeing terms, and delivering the goods across the border in the condition and quantity the contract promises. The farm cooperative selling pineapples to a European distributor and the processor selling cocoa products to a chocolate manufacturer are both exporting.

An export is the mirror of an import: the same movement is an export from the sending country and an import into the receiving country, and each side runs its own formalities. The exporter's formalities are those of the origin country, completed before the goods leave: an export declaration describing the goods, any certificates the goods require, and compliance with any export controls. In most international sales it is the seller's side that clears the goods for export;

the contract's trade terms, commonly expressed using the Incoterms 2020 rules, fix this allocation, and this module returns to them in its lesson on Incoterms.

The exporter's typical responsibilities are these.

1. Preparing goods to the quality, quantity, and packing the contract requires.

2. Lodging an accurate export declaration and obtaining the required certificates, such as proof of origin or health certificates.

3. Handing the goods to the international carrier on time, against the carrier's cut-off.

4. Providing the buyer's side with the documents it needs to clear the goods at destination.

Exporting is how the specialisation described at the start of this lesson becomes income: a country's cocoa, gold, timber, and shea earn nothing abroad until some organisation exports them, correctly documented and on time.

KEY CONCEPT

The export process

The basic process of exporting runs as follows.

1. Order and terms. A foreign buyer's order is confirmed, and the parties agree the commercial terms: the goods, the price, the delivery arrangements, and who is responsible for each stage. Those terms belong to the next lesson; here, they decide what the exporter must do.

2. Preparation. The goods are produced or processed to the contract's specification, packed for a long international journey, counted, and marked so that every package is identifiable.

3. Certificates. The exporter obtains whatever the goods require: a certificate of origin where the buyer or the destination's rules need one, plant-health or veterinary certificates for products of plant or animal origin, and the quality or inspection certificates common in commodity trades.

4. Export declaration. An export declaration is lodged with the customs authority of the exporting country, usually by the exporter or its freight forwarder, and customs releases the goods for export when it is in order.

5. Handover. The goods reach the port, airport, or border before the carrier's cut-off and are handed to the international carrier. For containers, the shipper's verified gross mass must have been declared before loading; a container without it may not be loaded.

6. Main carriage and documents. The goods travel to the destination country, and the exporter sends the buyer the documents needed there: the transport document, invoice, certificates, and packing list.

7. The buyer's formalities. Import clearance, duties, and taxes at destination are the importing side's work, not the exporter's, unless the agreed terms say otherwise.

Some goods carry extra conditions on the way out. Governments restrict or prohibit the export of certain categories, for reasons of safety, security, or domestic supply, and an exporter must confirm early that its goods may lawfully leave; discovering a restriction after the contract is signed is an expensive way to learn the rule.

KEY CONCEPT

Transit trade and why it exists

Transit trade is the movement of goods through a country or customs territory under applicable transit arrangements, generally without the goods being entered for domestic consumption. The transit country is neither the origin nor the destination; the goods are passing through.

The need for transit follows from geography. Not every country has a seaport: in West Africa, several countries inland from the coast, such as Burkina Faso, Mali, and Niger, have none of their own, so overseas goods must arrive at a coastal port and continue across one or more neighbouring countries. A container of machinery discharged at Tema and bound for a buyer in Ouagadougou must cross Ghana to reach its market.

That movement creates a question. The goods will never be sold or used in Ghana, so should Ghana treat them as imports and assess duties on them? That would charge duties twice, once in the passing country and again at the real destination, and make coastal ports useless to landlocked neighbours. The answer is the transit arrangement: the goods cross under customs control, without being entered for consumption, and the duties they owe are collected where they will actually be consumed.

Transit trade has four defining characteristics.

1. No entry for home consumption. The goods never join the transit country's market.

2. Duties suspended. Import duties are not paid in the transit country; they are secured by a guarantee and collected at the destination.

3. Control continues. The goods remain under customs control across the whole journey: sealed, documented, and moved along prescribed routes and offices.

4. The procedure closes at the destination. The transit ends where the goods are entered for their real destination, and the guarantee is released there.

Transit still benefits the transit country: its ports, corridors, hauliers, and warehouses earn work from goods passing through, even though its treasury collects no import duties on them.

KEY CONCEPT

How a transit movement is controlled

A transit arrangement works because four ingredients travel with the goods.

1. A single transit document. Lodged at the office of entry, it describes the goods, their origin and destination, and the route and offices of the journey, and the driver presents it at each customs office instead of a new declaration being made in every country.

2. A customs seal. The load is sealed at the office of departure, and an intact seal shows every later office that the goods have not been opened along the way.

3. A guarantee. A guarantee covers the duties at risk, so that if the goods disappear into the local market of a passing country, its customs can recover the duty from the guarantor; it is released when the transit is properly closed at destination.

4. Prescribed routes and time limits. The movement follows the approved route and schedule, presenting at the offices named in the document.

West Africa operates its own scheme on these lines: the Inter-State Road Transit Convention, the ISRT, adopted in 1982 by ECOWAS member states. Goods move by road between member states under duty suspension, sealed, covered by a single transit document known as the triptyque, and backed by a guarantee system. Ghana applies the ISRT for transit cargo to and from its landlocked neighbours.

The idea is not unique to West Africa. The international TIR Convention works the same way across Europe, Central Asia, and beyond: goods travel in sealed vehicles or containers under a TIR carnet, duties suspended across multiple borders, backed by an international guarantee chain. Ghana is not a party to the TIR Convention, which is why the regional ISRT is the scheme that matters for Tema's transit corridors.

Charges differ from import in the expected direction: the transit country collects no import duties, but the movement carries administrative requirements, which vary by country; the responsible party keeps the seal and documents in order until the procedure closes.

KEY CONCEPT

The major participants in an international trade transaction

Course 1 mapped the logistics ecosystem; this block places its participants around one trade transaction, because importing, exporting, and transit all draw on the same cast.

The two principals come first.

1. The exporter or seller, who sends the goods and is normally responsible for clearing them for export in the origin country.

2. The importer or buyer, who receives the goods and is normally responsible for clearing them for import and paying the duties and taxes at destination.

Around them stand the supporting participants.

3. Freight forwarders arrange the shipment on behalf of either principal: booking carriage, organising inland transport and handovers, and preparing documentation.

4. Carriers move the goods: shipping lines, airlines, road hauliers, and rail operators, with port and terminal operators handling cargo between vehicle and vessel.

5. Customs representatives prepare declarations and manage the formalities with the customs authorities of each territory.

6. Banks and insurers support the money and the risk: banks handle payment between the parties, the module's final lesson, and insurers cover goods in transit.

7. Government agencies beyond customs set requirements the goods must meet: plant-protection and veterinary authorities for food and agricultural goods, standards and health authorities for regulated products.

In a transit movement the same cast appears with one addition: the customs administrations of every country crossed, each office checking the seal and the transit document, linked by the guarantee until the destination office closes the procedure.

Two observations follow. First, no participant performs the whole transaction; each is responsible for a stage, and the goods depend on all of them. Second, every participant works from documents and data rather than from the goods themselves: a wrong origin on a certificate can change the duty, and a wrong weight can stop a loading.

KEY CONCEPT

Common documents in cross-border trade

Course 1 introduced the main shipping documents; this block groups them by what they do, and shows which trade type calls for which.

Commercial documents state what is being sold and shipped.

1. The commercial invoice, from seller to buyer, states the goods, quantities, prices, and terms of sale.

2. The packing list details the packages, weights, and contents, so every party can check what was shipped against what should have been.

Transport documents record the carriage.

3. The ocean bill of lading is the carrier's receipt for the goods, evidence of the contract of carriage, and a document of title: possessing it controls the right to claim delivery.

4. The air waybill plays the same recording role in air cargo but is never negotiable: it is a receipt and evidence of the contract, not a document of title.

5. International road movements in West Africa travel under a national or ECOWAS consignment note; the European CMR note is not the region's document.

Regulatory documents satisfy the authorities.

6. Customs declarations: an import declaration for goods entering for consumption, an export declaration for goods leaving, and, for transit, the single transit document such as the ISRT triptyque.

7. Certificates of origin state where the goods come from. The non-preferential kind is routine paperwork supporting ordinary duty treatment; the preferential kind, such as the ECOWAS certificate under the ETLS or the AfCFTA certificate, unlocks reduced or duty-free entry under a trade agreement.

8. Health and plant-health certificates: a phytosanitary certificate covers plants and plant products, a sanitary certificate products of animal origin, each issued by the exporting country's competent authority.

9. Permits and licences for restricted goods, on either the import or the export side.

Matching documents to trade type is the practical skill: the importer's file centres on the import declaration and duty assessment, the exporter's on the export declaration and certificates, the transit movement's on one transit document, one seal, and one guarantee.

KEY CONCEPT

Trade barriers, logistics, and the challenges of cross-border trade

A trade barrier is a government-imposed measure, such as a tariff, quota, or regulatory restriction, that affects international trade. Barriers explain why cross-border trade is never just transport: each one is a rule to satisfy and a cost or limit to plan around. The main forms are tariffs, or customs duties, charged at the border on imported goods; quotas, limits on the quantity of a good that may enter or leave during a period; and regulatory restrictions, the standards, licences, and prohibitions that protect health, safety, and public policy.

Duties depend on classification, which is where the Harmonized System enters: the worldwide naming scheme giving every traded product a six-digit code, more than five thousand of them, which countries extend with their own extra digits. Ghana applies the ECOWAS Common External Tariff, under which goods fall into five duty bands: 0, 5, 10, 20, and 35 per cent. The band a product attracts depends on its classification and, for preferential treatment, its origin, which is why origin documents carry financial weight and classification errors surface as money.

Governments impose barriers to protect developing industries, raise revenue, and safeguard health and safety; to the trader they appear as cost, paperwork, and time.

Trade and logistics depend on each other in both directions. Trade creates logistics work: imports mean port handling, clearance, and inland delivery; exports mean consolidation, export clearance, and a handover to a carrier; transit movements mean corridor haulage and seal control across several customs offices. Logistics makes trade possible: goods reach foreign buyers competitively only when ports, corridors, and clearance work, so logistics performance is part of a country's competitiveness.

The recurring challenges of international goods movement follow from the lesson.

1. Documentation errors, which stop goods exactly where they are most expensive to hold.

2. Congestion and delay at ports, airports, and border crossings.

3. Trade barriers adding cost, paperwork, and time.

4. Long transit corridors, with seals, schedules, and several administrations to satisfy.

5. Coordination across two principals, several service providers, and two or more governments.

6. Payment risk across borders, the subject of this module's final lesson.

Managing them, through accurate documents, early declarations, and reliable partners, is the work of the rest of this course.

WORKED EXAMPLE

Importing in practice: a container of rice arrives at Tema

A food-trading company in Accra buys rice for the Ghanaian market. It orders a full container load of white rice from an exporter in Thailand: about 560 fifty-kilogram bags, roughly 28 tonnes, a load suited to a twenty-foot container. All quantities and figures in this example are illustrative for teaching purposes.

Step 1: The order. The companies agree the goods, the quality, the quantity, the price, and the delivery terms. The trade type is fixed from the start: a sale for import into Ghana, because the rice is bought for resale in the Ghanaian market and will be entered for home consumption there.

Step 2: Origin formalities in Thailand. The exporter packs the bags on pallets, stuffs and seals the container, and completes Thailand's export formalities: the export declaration and the documents the sale needs, including the commercial invoice, packing list, certificate of origin, and the phytosanitary certificate that plant products commonly carry. The container's verified gross mass is declared before loading.

Step 3: Export clearance and loading. Thai customs clears the container for export, and the shipping line loads it within the cargo and documentation cut-offs, issuing a bill of lading.

Step 4: Main carriage. The container sails to Tema Port.

Step 5: Pre-arrival. Before the vessel arrives, the importer's customs representative lodges the import declaration through Ghana's single window, ICUMS, describing the goods, their value, their Thai origin, and their classification. Customs risk-assesses it in advance.

Step 6: Arrival and channel. On arrival the declaration is channelled according to risk: released on the documents, or sent to a document check or physical inspection.

Step 7: Duties and release. Customs assesses import duties and taxes under the ECOWAS Common External Tariff, on the declared classification and origin. Once payment is made and the declaration is in order, customs releases the container.

Step 8: Delivery and entry into the market. The container is collected and delivered to the importer's warehouse. The rice is now on the Ghanaian market: entered for home consumption, duties paid, an import complete.

What does this example demonstrate? Both sides ran formalities. Thailand's ended when the goods left Thai waters; Ghana's, the declaration, the duties, the release, belonged to the importer's side and decided whether the goods ever reached the market.

Key lesson: importing is defined by entry for home consumption, and the importer carries the destination country's formalities and charges.

WORKED EXAMPLE

Exporting in practice: processed cocoa from Tema to Rotterdam

A cocoa processing company in Tema produces cocoa butter for industrial buyers. A chocolate manufacturer in the Netherlands orders 20 tonnes of it, packed in 800 twenty-five-kilogram bags on pallets. All quantities are illustrative.

Step 1: The order. The parties agree the grade, the quantity, the price, and the delivery terms, including who arranges and pays for carriage and who insures; those allocations come from the trade terms in the contract.

Step 2: Preparation and certification. The company produces the cocoa butter to the agreed specification, packs it, and arranges a quality and inspection certificate attesting the goods' condition, common in commodity trades. It also obtains the certificate of origin the buyer will need.

Step 3: Export declaration. The company, or its freight forwarder, lodges the export declaration with Ghana's customs, describing the goods, their value, and their destination.

Step 4: Handover at Tema Port. The pallets are stuffed into a container, which is sealed and delivered to the terminal before the shipping line's cargo cut-off, its verified gross mass having been declared. Customs, the export declaration being in order, releases the goods for export, and the vessel loads them.

Step 5: Main carriage. The container sails to Rotterdam under a bill of lading covering the carriage.

Step 6: Documents to the buyer. The exporter sends the buyer the documents needed at destination: the bill of lading, the commercial invoice, the packing list, and the certificates of origin and quality. With these, the buyer's side in the Netherlands lodges the import declaration, and Dutch import duties and taxes are assessed and paid there.

Step 7: Completion. The buyer takes delivery, and payment follows the method the contract agreed, the subject of this module's final lesson.

Notice where each country's formalities fell. Ghana's were all origin formalities: the export declaration, the release for export, the certificates attesting Ghanaian origin and quality. None of the exporter's work cleared the goods into the Netherlands; that was the buyer's side of the transaction.

What does this example demonstrate? Exporting is sending goods abroad, and the exporter's formalities are completed in the origin country, before the goods leave.

Key lesson: the seller clears the goods out; the buyer, unless the terms say otherwise, clears them in.

WORKED EXAMPLE

Transit in practice: machinery from Tema to Ouagadougou

A trading house in Ouagadougou, Burkina Faso, buys a container of agricultural machinery from an overseas supplier. Burkina Faso is landlocked, so the goods arrive by sea at Tema Port in Ghana and continue by road to the border and on to Ouagadougou. They pass through Ghana, but they are not sold or used there. All details are illustrative.

Step 1: Arrival at Tema. The container is discharged at Tema Port. Declared for home consumption in Ghana, it would be an import, and Ghana's import duties would be assessed on it. It is not. Because its destination is Burkina Faso, the movement is declared under transit, under the ECOWAS Inter-State Road Transit Convention, the ISRT, which Ghana applies for transit cargo to and from its landlocked neighbours.

Step 2: Transit formalities at the port. The single transit document, the triptyque, is lodged, describing the goods, their origin, their destination and route. Customs seals the container, and a guarantee covers the duties at risk until the movement reaches its destination.

Step 3: The road leg. A truck carries the sealed container north along the prescribed corridor, the driver presenting the transit document where required; the seal must remain intact for the whole journey.

Step 4: The border. At the border posts, officers check the seal and the transit document and record the passage. No import declaration is lodged in Ghana and no Ghanaian import duties are paid, because the goods were never entered for consumption in Ghana.

Step 5: Arrival and discharge. At the customs office serving Ouagadougou the transit is discharged: the seal is checked and removed, the goods are verified against the transit document, and Burkina Faso's import formalities begin, with duties assessed and paid at the real destination. The guarantee is released.

Step 6: The accounts. Ghana's port, hauliers, and corridor earned their fees for handling and moving the container. Its treasury collected no import duty, correctly, because the machinery never entered Ghana's market; the duty belonged to Burkina Faso, the country of destination.

What does this example demonstrate? Transit is through-movement under control. The goods crossed Ghana's territory without ever entering Ghana's economy.

Key lesson: the goods never import into the transit country. The transit document, the seal, and the guarantee keep the movement under customs control until the duties are collected where the goods are actually consumed.

WORKED EXAMPLE

Transit in another region: a TIR movement from Rotterdam toward Central Asia

The same logic works outside West Africa, under different paperwork. Consider a machinery manufacturer in Germany that sells a large industrial generator to a buyer in a landlocked country of Central Asia. The generator travels by truck from Rotterdam, crossing several countries. None of the countries crossed will import it; the buyer's country will. All details are illustrative.

Step 1: Loading and sealing. The generator is loaded onto a truck and the load is sealed, and the driver is issued a TIR carnet, the single transit document of the TIR Convention, with a guarantee behind it from the international guarantee chain.

Step 2: Crossing borders under suspension. At each border, customs offices check the seal and the carnet and record the passage. Import duties are suspended across all the borders crossed: no country along the way assesses duty on a generator merely passing through.

Step 3: Continuing under control. The movement follows the prescribed route and schedule, presenting at the offices named in the document. The single document and the intact seal are what allow the goods to cross so many territories under one procedure.

Step 4: Destination and discharge. At the customs office of the buyer's country, the transit is discharged, the seal is removed, and the import formalities begin, with duties assessed at the country of destination.

The names differ from the West African scheme, the TIR carnet instead of the ISRT triptyque, but the ingredients are identical: one transit document, one seal, one guarantee, duties only at the final destination. Ghana is not a party to the TIR Convention, so Ghana's corridors use the ISRT; a learner who understands one understands the other.

What does this example demonstrate? Transit trade is a worldwide concept, adapted by each region to its own convention, and everywhere it answers the same question: how goods can cross countries that are not their destination without importing anywhere except at the end.

Key lesson: regions differ in paperwork, not in principle. The principle is duties at the destination, control along the way.

IMPORTANT NOTE

Transit is not import

The most important distinction in this lesson is also the one beginners lose first: goods that arrive at a country's port are not automatically that country's imports.

The test is the customs procedure the goods are declared under, not the geography. Goods landed at Tema and declared for home consumption are an import: duties are assessed, and after release they join the local market. Goods landed at Tema and declared under transit to Burkina Faso are not a Ghanaian import at any point: they are under customs control, sealed and documented, crossing toward their real destination.

The consequences of the distinction are practical.

1. Charges differ. Imports carry the destination country's duties and taxes. Transit movements carry no import duties in the passing country; the duties are secured by a guarantee and collected at the destination.

2. Control differs. Released imports are in the market and at their owner's disposal. Transit goods remain under customs control throughout: seals, prescribed routes, time limits, and presentation at named offices.

3. Documents differ. An import runs on an import declaration. A transit movement runs on a single transit document, such as the ISRT triptyque, presented along the route.

Mislabelling one as the other creates real failures. Declaring transit goods for import would wrongly charge duties and pull goods into the wrong market; declaring imports as transit would move dutiable goods past the treasury. The declaration decides the treatment, so the trade type of every movement must be fixed, and declared, before the goods arrive.

IMPORTANT NOTE

Import, re-export, and transit are three different things

Three patterns are confused constantly, and the difference is worth pinning down.

An import is goods brought into a country and entered for home consumption: they join the local market, duties are assessed, and they are used, sold, or processed there.

A re-export is goods that were imported first and are then sent onward to another country. They entered the market; their onward journey is an export from that country. Imagine a company imports 200 refrigerators into Ghana, sells 160 locally, and later sells the remaining 40 to a buyer in a neighbouring country. The 160 are simply imports consumed locally. The 40, having once been imported and entered for consumption, leave as a re-export, running on Ghana's export formalities on the way out. They were never transit goods, because they did enter Ghana's market first.

Transit is the third pattern: goods that pass through without ever being entered for consumption, under a transit arrangement, sealed, guaranteed, and closed at the real destination.

The practical differences follow the definitions.

1. A re-export has been assessed for the duties of an import, and its onward leg runs on export formalities; a transit movement never attracts the transit country's duties at all.

2. The treatment of goods that leave after import, including any reliefs or repayments of duty, differs from country to country, so the exporter must confirm the rules for its own case rather than assume.

3. The documents tell the three apart: an import declaration for the import, an export declaration for the re-export, a single transit document for the transit.

When a colleague describes a consignment as transit, ask the defining question: were the goods ever entered for consumption in the country they crossed? If yes, the movement was import and then re-export. If no, it was transit.

Practice questions (Lesson Checks)

Practice Question 1

A container of machinery is discharged at Tema Port. Its buyer is a company in Ouagadougou, Burkina Faso, and the movement is declared under transit to Burkina Faso rather than for home consumption in Ghana.

Which statement best describes how the goods are treated in Ghana?

1. The goods are an import into Ghana, but the import duties are refunded once the truck leaves the country.

2. The goods are an import into Ghana because they physically arrived at a Ghanaian port, and duties are payable in Ghana first.

3. The goods move under transit arrangements without being entered for consumption in Ghana, with duties secured by a guarantee and collected at the destination country. ✓

4. The goods need no customs treatment at all until they reach Burkina Faso, because Ghana has no interest in them.

Correct answer: Answer 3

Explanation

The correct answer is Answer 3.

Transit trade is the movement of goods through a country under transit arrangements without the goods being entered for domestic consumption. Here the machinery is declared under the ISRT transit arrangement: a single transit document travels with the driver, customs seals the container, and a guarantee secures the duties until the movement is discharged at the destination office in Burkina Faso, where the import formalities and duties belong.

Answer 1 is wrong because no import arises that could be refunded: the goods were never entered for consumption in Ghana. Answer 2 confuses physical arrival with importation; the test is the customs procedure declared, not the port where the goods happen to land. Answer 4 is wrong because the transit country is not indifferent: Ghana's customs keeps control of the movement through the seal, the transit document, the prescribed routes, and the offices of the corridor.

The takeaway: transit goods cross a country's territory under its control, but they import only where they are actually destined, and the duties belong there.

Practice Question 2

An agricultural company in Ghana buys a tractor from a manufacturer in Poland, and in the same season sells a consignment of shea butter to a cosmetics buyer in France.

Which statement correctly assigns the two transactions and their formalities?

1. Both are exports, because in each case goods leave a port or airport on their way to the other party.

2. The tractor purchase is an import, with Ghana's import declaration and duties on the company's side, and the shea butter sale is an export, with Ghana's export formalities completed at origin. ✓

3. The tractor purchase is an export for Poland and the shea butter sale is an import for France, so all the formalities fall on the foreign parties.

4. The shea butter is an import into Ghana until it is loaded on the vessel, after which it becomes an export.

Correct answer: Answer 2

Explanation

The correct answer is Answer 2.

The direction of the goods relative to the company's own customs territory defines the trade type. Buying the tractor brings goods into Ghana for use in the business, so it is an import: the company, as importer, is responsible for the import declaration, and Ghana's duties and taxes are assessed at destination. Selling the shea butter sends goods from Ghana to a buyer abroad, so it is an export: the company, as exporter, completes the origin country's formalities, the export declaration and the certificates such as proof of origin, before the goods leave.

Answer 1 ignores direction; the tractor leaving Poland for Ghana is Poland's export and Ghana's import, not Ghana's export. Answer 3 reverses responsibility: each country's formalities are normally handled by its own side, with the seller clearing export and the buyer clearing import. Answer 4 confuses preparation with trade type; goods become an export only in the sending country and an import only in the receiving country.

The takeaway: import means goods coming into your customs territory for use or resale; export means goods going out to a buyer abroad, and each side runs its own formalities.

Practice Question 3

A company in Ghana imports 200 refrigerators and clears them for home consumption. It sells 160 of them in Ghana, and later sells the remaining 40 to a buyer in a neighbouring country, which are trucked across the border under an export declaration.

A colleague describes the whole consignment as transit goods. Which statement is correct?

1. The colleague is wrong: the 160 sold in Ghana were imports consumed locally, and the 40 sent onward were re-exports after import, not transit goods, because they were entered for consumption in Ghana first. ✓

2. The colleague is right: any goods that arrive at a seaport and later leave the country by road are transit goods.

3. The colleague is right, because paying import duties converts the consignment into transit goods for the portion that later leaves the country.

4. The colleague is wrong, because imported goods can never legally leave the country once they have been entered for home consumption.

Correct answer: Answer 1

Explanation

The correct answer is Answer 1.

The defining test of transit is whether the goods were ever entered for domestic consumption in the country they crossed. These refrigerators were entered for home consumption in Ghana when they were cleared on import. The 160 sold locally are straightforward imports. The 40 sent onward left Ghana under an export declaration after having been imported, which makes them a re-export: an import followed by an export, not a transit movement. A genuine transit consignment would have crossed Ghana sealed and guaranteed under a single transit document, without any entry for consumption and without Ghanaian import duties.

Answer 2 confuses physical arrival and departure with customs procedure; many imported consignments leave a country later without ever being transit goods. Answer 3 inverts the logic: paying import duties is evidence of entry for consumption, which excludes transit treatment. Answer 4 overstates the rule; re-export after import does happen, under each country's own rules and formalities.

The takeaway: import, re-export, and transit are three different procedures, and the entry for consumption is what separates the first two from the third.

Fact-check appendix (audit notes — not for entry)

Definitions of International Trade, Import, Export, Transit Trade, Importer, Exporter, Country of Origin, Country of Destination, Customs Territory, Trade Barrier, and Customs Declaration follow the lesson's key terms — source: curriculum/lesson_briefs/module-04/lesson-4.1.md key terms.

Pre-arrival lodging of customs declaration data enables advance risk analysis and faster release on arrival — source: trade-transport-standards.md section 12.

Customs administrations use risk-based selectivity, channelling declarations into release without inspection, document check, or physical inspection; a channel model used in many administrations, including Ghana's ICUMS — source: trade-transport-standards.md section 12. Ghana-specific usage: the reference to Ghana's ICUMS channels.

The single window is a facility allowing trade and transport parties to lodge standardised information and documents through a single entry point to fulfil all import, export, and transit regulatory requirements (UNECE Recommendation No. 33, endorsed by the WCO); Ghana's trade single window operates through ICUMS, the national customs management system — source: trade-transport-standards.md section 12. Ghana-specific usage: the ICUMS single-window reference.

The Harmonized System gives every traded product a six-digit code used worldwide, with more than 5,000 such codes; countries extend the code nationally, typically to 8 to 10 digits, for tariff and statistical purposes — source: trade-transport-standards.md section 3.

Ghana applies the ECOWAS Common External Tariff, which has five duty bands: 0%, 5%, 10%, 20%, and 35% — source: trade-transport-standards.md section 3 (confidence high on the five bands). Ghana-specific usage: the CET statement and its bands; no other duty rates are stated.

In most international sales the seller's side clears the goods for export (true under all Incoterms 2020 rules except EXW) and the buyer's side clears import (all except DDP) — source: trade-transport-standards.md section 1.

Incoterms are cited only as "Incoterms 2020" and only as the rules that allocate tasks, costs, and risk between seller and buyer; their detail belongs to lesson 4.3 — source: trade-transport-standards.md section 1.

The ocean bill of lading is a receipt for the goods, evidence of the contract of carriage, and a document of title; the air waybill is a receipt and evidence of the contract but is never negotiable and never a document of title — source: trade-transport-standards.md section 4.

International road movements in West Africa use generic national or ECOWAS consignment notes; the CMR consignment note is not the region's document, Ghana not being a CMR contracting party — source: trade-transport-standards.md section 4. Ghana-specific usage: the regional consignment-note statement.

Non-preferential certificates of origin are traditionally certified by chambers of commerce under ICC World Chambers Federation guidelines; preferential certificates, such as the ECOWAS certificate of origin under the ETLS and the AfCFTA certificate of origin, evidence entitlement to reduced or duty-free treatment under a trade agreement — source: trade-transport-standards.md section 5.

A phytosanitary certificate covers plants and plant products and a sanitary (health) certificate covers products of animal origin, each issued by the exporting country's competent authority (IPPC/WTO SPS framework) — source: trade-transport-standards.md section 5. The lesson's phrasing for rice ("the phytosanitary certificate that plant products commonly carry") is deliberately hedged.

Quality or inspection certificates attesting quality, quantity, or condition are common in commodity and bulk trades; their contents are contractual — source: trade-transport-standards.md section 5.

Since 1 July 2016 (SOLAS regulation VI/2) the shipper must obtain and communicate the verified gross mass of every packed container, and a container without verified gross mass may not be loaded — source: trade-transport-standards.md section 7.

Carriers set a cargo cut-off and a documentation cut-off before each departure, and a shipment missing a cut-off usually waits for the next one — source: trade-transport-standards.md section 7 (carrier practice).

A standard twenty-foot container has a payload of approximately 28,250 kg, the basis of the illustrative rice load of about 560 fifty-kilogram bags — source: trade-transport-standards.md section 6.

The ECOWAS Inter-State Road Transit Convention (ISRT, Convention A/P4/5/82, adopted 29 May 1982) allows goods to move by road between ECOWAS member states under duty suspension, with customs seals, a single transit document (the "triptyque"), and a guarantee system; Ghana applies the ISRT for transit cargo to and from its landlocked neighbours — source: trade-transport-standards.md section 12. Ghana-specific usage: the ISRT corridor statements in the transit blocks, worked examples, and MCQs.

The TIR Convention (1975, UNECE/IRU) provides international transit in sealed vehicles or containers under a TIR carnet, with duties suspended across multiple borders and an international guarantee chain; Ghana is not a

contracting party — source: trade-transport-standards.md section 12. Ghana-specific usage: the statement of Ghana's TIR non-membership.

No exact ISRT or TIR operational specifics (document forms, guarantee amounts, named routes, or digitisation status) are stated in the lesson; the four-ingredient control framing (single transit document, seal, guarantee, prescribed routes and time limits) describes the general customs-transit concept, and specifics vary by administration — source: trade-transport-standards.md section 12 and DO NOT CLAIM item 12.

Ghana's illustrative trade profile (imports: rice, machinery, vehicles, pharmaceuticals; exports: cocoa, gold, timber, shea) is presented in the lesson as illustrative, with no quantities, figures, or institutional claims — source: general business knowledge, used as directed by the lesson tasking.

Burkina Faso, Mali, and Niger are landlocked West African countries whose overseas goods pass through coastal seaports; Tema is a Ghanaian seaport — source: general geographic knowledge.

Rice is exported by Thailand; the Netherlands, Poland, and France appear as illustrative trading partners — source: general geographic and business knowledge, with companies kept generic and illustrative.

All quantities, weights, routes, and operational details in the worked examples (560 bags/28 tonnes of rice, 800 bags/20 tonnes of cocoa butter, 200 refrigerators, corridor and border procedures) are illustrative for teaching purposes — source: writing specification rule 5.1.

Companies in the examples are generic and unnamed or clearly illustrative; no factual claims are attached to real firms — source: writing specification section 4.

Lesson 4.2 — Buyers, Sellers, and International Trade Agreements

Summary

This lesson examines the commercial relationships between buyers and sellers in international trade. Learners will explore the responsibilities of trading parties, the importance of clearly defined contractual terms, and the role of international sales agreements in establishing obligations relating to goods, delivery, payment, risk, and dispute resolution.

Learning objectives

- Identify the roles and responsibilities of buyers and sellers in international trade.
- Explain how international buying and selling transactions are established.
- Describe the purpose of an international sales contract.
- Identify essential terms commonly included in international trade agreements.
- Explain the importance of clearly defining delivery, payment, and contractual obligations.
- Distinguish between commercial sales contracts and government-level trade agreements.
- Recognize common commercial risks arising from unclear contractual arrangements.
- Explain how contractual agreements support effective logistics planning and shipment coordination.

Key terms

Buyer — A person or organization that purchases goods or services from another party.

Seller — A person or organization that supplies goods or services in exchange for an agreed consideration.

International Sales Contract — A legally binding agreement governing the sale of goods between parties involved in an international commercial transaction.

Purchase Order (PO) — A document issued by a buyer specifying the goods or services requested and the proposed purchase terms.

Pro Forma Invoice — A preliminary commercial document issued by a seller outlining proposed goods, prices, and transaction terms before a final sale or shipment.

Contractual Obligation — A duty or responsibility that a party is legally required to fulfil under an agreement.

Terms of Sale — The agreed commercial conditions governing a transaction, including matters such as price, delivery, and payment.

Trade Agreement — An agreement between countries or trading blocs establishing rules or conditions governing trade between them.

Free Trade Agreement (FTA) — An agreement between countries or trading blocs intended to reduce or eliminate specified barriers to trade.

Breach of Contract — A failure by a party to fulfill a contractual obligation without lawful justification.

Dispute Resolution — The process of resolving disagreements between parties through negotiation, mediation, arbitration, litigation, or another agreed mechanism.

Teaching content

KEY CONCEPT

The buyer and the seller in international trade

Every international sale has two parties at its centre. The buyer is a person or organisation that purchases goods or services from another party. The seller is a person or organisation that supplies goods or services in exchange for an agreed consideration, normally a price to be paid. Using the language of the previous lesson on importing and exporting, the seller is typically the exporter located in the country of origin, and the buyer is typically the importer located in the country of destination. The same two roles sit behind every trade, whether the goods cross one border or five.

The two parties want different things from the same transaction.

1. What the seller wants

The seller wants payment security: to be paid the agreed price, in the agreed currency, at the

agreed time, without having to chase the money across a border. Before shipping, the seller also wants confidence that the order is genuine and clearly defined.

2. What the buyer wants
The buyer wants goods certainty: the right goods, in the agreed quantity and condition, arriving at the agreed place and time, at the agreed price. Paying for a shipment that arrives late, incomplete or wrong is the buyer's nightmare.

3. What each party is responsible for
The seller's responsibilities normally include supplying goods that conform to the contract in description, quality, quantity and packaging, preparing the goods for international transport, carrying out whatever export arrangements the agreement allocates to it, and providing the agreed documents. The buyer's responsibilities normally include paying according to the agreed payment terms, taking delivery of the goods, and carrying out whatever import arrangements the agreement allocates to it.

Notice that phrase: whatever the agreement allocates. In international trade, the split of tasks between buyer and seller is agreed, not automatic. Who arranges the ocean carriage, who insures, who clears the goods through customs at either end — all of this is settled in the contract between the two parties. The next lesson on Incoterms examines precisely how that allocation is expressed.

KEY CONCEPT

The gap between trading partners

In a domestic sale, the distance between buyer and seller is small enough to manage with ordinary trust. A shopkeeper in Takoradi buying goods from a distributor in Accra can visit the warehouse, meet the same people again, pay in the local currency after delivery, and take a disagreement to a lawyer operating under one familiar legal system.

International trade removes every one of those comforts. Four gaps open up between the parties.

1. Distance
Goods may travel for days or weeks, pass through ports and terminals, and change hands several times. Neither party can simply walk next door to check on the cargo.

2. Different legal systems
If a dispute arises, enforcing a claim in another country's courts is slow, expensive and uncertain. The buyer and the seller grew up under different rules, and neither can assume the other's law works in their favour.

3. Different currencies
The parties must agree which currency the price is paid in, and each of them faces the risk that the exchange rate moves between signing the contract and settling the payment.

4. Limited trust
The parties may never meet. The buyer cannot inspect the goods in the seller's warehouse; the seller knows nothing of the buyer's business except what documents and references show.

These gaps produce two mirrored fears. The seller fears shipping goods and never being paid. The buyer fears paying and receiving the wrong goods, late goods, or nothing at all. The whole machinery of international trade — the sales contract, the document system you met in the lesson on logistics documentation, the payment arrangements, and the agreements between countries — exists to bridge this gap so that two strangers on different continents can trade with confidence.

KEY CONCEPT

How an international transaction is established

An international sale rarely begins with a signature. It begins with a conversation between organisations and hardens step by step into a binding agreement. A typical sequence runs as follows.

1. Enquiry and quotation
The buyer identifies a need and sends an enquiry to a potential supplier, asking whether the goods are available, at what price, and on what conditions. The seller replies with a quotation setting out its proposed price and terms.

2. The pro forma invoice
The seller commonly issues a pro forma invoice, the preliminary document the lesson on logistics documentation introduced as a quotation in invoice form. It outlines the proposed goods, prices and transaction terms before any final sale or shipment. The buyer uses it to confirm the deal internally, arrange funds or permits, and check that every proposed condition is acceptable.

3. The purchase order
The buyer then issues a purchase order, or PO, a document specifying the goods or services requested and the proposed purchase terms. Inside the buyer's organisation, a purchase order is normally raised only after an internal approval, because it commits the organisation to buy.

4. Agreement
When the seller confirms the purchase order, or the parties sign a fuller contract document, the transaction is established: there is an offer, an acceptance, and a common understanding of the terms. For small or repeated trades, the pro forma invoice, the purchase order and the commercial invoice may together carry the whole arrangement. For larger or first-time transactions, the parties usually sign a formal written contract recording every agreed term.

5. Performance
From that point the deal moves into execution: the goods are prepared, shipped, documented, delivered and paid for, exactly as the following blocks in this lesson describe.

The important point is that the transaction exists commercially before the goods move. By the time a container is stuffed, everything about the sale — goods, price, delivery, payment — should already be agreed in writing.

KEY CONCEPT

The international sales contract

The international sales contract is a legally binding agreement governing the sale of goods between parties involved in an international commercial transaction. It is the master document of the shipment: every other paper in the file exists to carry out what the contract records.

Think back to the document families from the lesson on logistics documentation: commercial documents, transport documents, certificates, customs declarations, delivery records. None of those documents decides anything on its own. The commercial invoice states the price because the contract fixed the price. The goods are packed as they are because the contract specified the packaging. The certificate of origin is obtained because the contract, or the destination requirements behind it, called for one. The contract sits above the file and gives every document its purpose.

The contract performs four jobs.

1. It records the bargain
The contract is the single authoritative statement of what the parties agreed, so that nobody depends on memory or scattered emails.

2. It allocates obligations
A contractual obligation is a duty or responsibility that a party is legally required to fulfil under an agreement. The contract sets out, item by item, which obligation belongs to the buyer and which belongs to the seller.

3. It allocates risk
The contract determines where the seller's responsibility ends and the buyer's begins: who bears the risk of loss or damage at each stage of the journey, and who pays each cost.

4. It provides evidence and remedies
If something goes wrong, the contract is the reference both parties, and if necessary a court or arbitrator, will use to decide what was promised and what was not.

The contract binds its parties — the buyer and the seller. It is not the contract of carriage, because the carrier is not a party to it, and it is not a customs document, because customs is not a party to it either. One shipment, as you will see later in this lesson, rests on several agreements at once.

KEY CONCEPT

Essential terms of an international sales contract

A contract protects the parties only as far as it is specific. Vague contracts store trouble; precise contracts prevent it. International sales contracts commonly include the following essential terms.

1. The parties

The full legal names and addresses of buyer and seller. Obligations are worthless unless it is clear whose they are.

2. Description of the goods

A precise description of what is being sold, with specifications of quality, grade or standard where relevant. Processed foods carry recipes of a commercial kind: variety, packaging type, labelling, shelf life.

3. Quantity

How much is being sold, and in what unit of measure — cartons, kilograms, litres. Ambiguity here feeds the document discrepancies the documentation lesson warned about.

4. Price and currency

The unit price and total price, and the currency of payment. In international sales the currency must be stated, not assumed.

5. Delivery terms

The terms of sale are the agreed commercial conditions governing the transaction, including matters such as price, delivery and payment. The delivery clause answers: who arranges and pays for each stage of transport, who insures, and at what point the risk passes from seller to buyer. International sales commonly express this clause by naming an Incoterms 2020 rule together with a named place — the subject of the next lesson.

6. Payment terms

When payment falls due, by what method, in what currency, and against which documents. Payment terms are the seller's answer to its fear of not being paid.

7. Documents

Which documents the seller must provide: the commercial set, the transport document, and any certificates such as a certificate of origin or health certificate.

8. Governing law and dispute resolution

Which country's law governs the contract, and how disagreements will be resolved. Dispute resolution is the process of settling disagreements between parties through negotiation, mediation, arbitration, litigation or another agreed mechanism. Naming the mechanism in advance turns a future crisis into a planned procedure.

Each of these terms exists because leaving it blank costs money later, as the worked examples in this lesson demonstrate.

KEY CONCEPT

Why delivery and payment terms must be clearly defined

Two contract terms work hardest in practice: the delivery terms and the payment terms. Each answers a question the parties must not leave open.

The delivery terms answer: who does what, and where does responsibility change hands? If the contract states the delivery term precisely, the seller knows whether it must arrange carriage to the buyer's door or only deliver the goods at its own premises; the buyer knows whether import clearance and its costs are its own problem; and the freight forwarder engaged to move the goods knows exactly how far its instructions run. If the delivery term is vague, every one of those parties guesses, and the guesses rarely match.

The payment terms answer: when and against what does the seller get paid? Payment may fall due before shipment, on shipment, against documents, or after arrival; the difference decides which party carries the financial risk while the goods travel. If the contract is silent, the seller invoices when it chooses and the buyer pays when it chooses, and the gap between those choices is a dispute.

When terms are unclear, the commercial risks that follow are predictable. Costs that nobody allocated are settled by argument. Shipments wait at ports while the parties decide who pays the charges. One party withholds payment because it believes the goods were not what it agreed to buy. A breach of contract occurs — a failure by a party to fulfil a contractual obligation without lawful justification — and the parties discover that an unclear obligation is the hardest of all to enforce or defend.

Breach carries consequences: claims for damages, goods detained, payment withheld, and business relationships that do not survive. The prevention costs nothing but discipline: define the delivery, payment and document terms fully, in writing, before the contract is signed. The rest of this lesson shows what that discipline looks like in practice.

KEY CONCEPT

From private contracts to trade agreements between countries

Everything so far in this lesson has concerned the private layer of international trade: the sales contract, binding only the buyer and the seller who signed it. But above that private layer sits a public layer that shapes the conditions under which every shipment crosses a border.

A trade agreement is an agreement between countries or trading blocs establishing rules or conditions governing trade between them. A free trade agreement, or FTA, is a trade agreement intended to reduce or eliminate specified barriers to trade — the tariffs, quotas and regulatory restrictions the previous lesson introduced as trade barriers.

Governments conclude trade agreements for reasons that matter directly to traders.

1. To reduce barriers
Duties make goods more expensive at the border. By agreeing to reduce or remove specified barriers, governments make each other's goods cheaper and more competitive, and their exporters win markets they could not serve profitably at full duty.

2. To create predictable rules
Traders can plan when they know the rules will not change without warning. Agreements fix the conditions of trade — which goods receive what treatment, under what procedures — so a business can sign a two-year supply contract with reasonable confidence about what the border will look like for two years.

3. To open markets
Agreements give a country's producers access to larger markets, and give buyers a wider choice of suppliers.

Here is the essential relationship between the two layers. The exporter does not sign the trade agreement — governments do. But every shipment the exporter makes is priced, documented and cleared under the conditions that agreement created. The sales contract decides what the parties owe each other; the trade agreement decides what the border will demand from the goods. A trader who understands only one of the two layers is working with half the picture.

KEY CONCEPT

The levels of trade agreements

Trade agreements exist at several levels, and a learner should be able to recognise each one.

1. Multilateral rules
At the widest level sit the multilateral rules of the world trading system, maintained under the World Trade Organization, an organisation in which a very large number of countries agree common rules for trade. The baseline of this system is that members grant one another equal, non-discriminatory treatment — known as most-favoured-nation treatment — so goods from fellow members normally enter on the same ordinary terms. Multilateral rules set the floor for world trade; they are not tied to any one region or product.

2. Regional economic communities and customs unions
At the regional level, neighbouring countries integrate more deeply. A regional economic community is a group of countries in the same region that cooperate on economic matters. When members go further and form a customs union, goods move between them with reduced or zero duties, and the members apply a common external tariff — one shared set of duties on goods entering the bloc from outside, so that the same product faces the same border charge whichever member state it enters through. In West Africa, the regional economic community is ECOWAS, and under its trade liberalisation scheme goods approved as originating in member states move duty-free. The operative word is originating, which the next block explains.

3. Continental and bilateral agreements

Agreements also operate at continental scale. The African Continental Free Trade Area is a verified example: an agreement under which participating African countries extend preferential treatment to one another's goods, trading under agreed rules of origin and evidencing claims with a dedicated certificate of origin. At the narrowest level, two countries may conclude a bilateral agreement governing trade between them alone.

The levels stack: a single shipment may be governed by multilateral rules, a regional arrangement and a national customs law at the same time. What changes with deeper integration is the benefit available — and the knowledge needed to claim it.

KEY CONCEPT

Rules of origin and the certificate of origin

A trade agreement promises nothing to a shipment until the goods qualify. Whether they qualify is decided by rules of origin — the rules under which goods are considered to have originated in a particular country. The previous lesson introduced the country of origin; here the concept becomes practical.

Origin is assessed in two different modes. Non-preferential origin is the ordinary declaration of where goods come from, used for ordinary customs treatment, statistics and marking rules. Preferential origin is a stronger claim: that the goods qualify for reduced or zero duty under a specific trade agreement. Only preferential origin unlocks a preference.

Origin rules use two core tests. The first is wholly obtained: goods grown, harvested, extracted or caught entirely in one country — cocoa grown in Ghana, fish landed in its ports — clearly originate there. The second is substantial transformation, used when goods contain inputs from elsewhere: the question is whether manufacturing or processing in the claiming country was significant enough for the goods to be considered its product. Agreements measure this in defined ways, commonly by whether the processing changes the goods' classification under the Harmonized System, the international product classification customs authorities use, or by tests expressed as processing operations or value percentages. The details differ from agreement to agreement, which is why they must be checked, not assumed.

The claim is then evidenced in writing. A certificate of origin certifies where goods come from. The non-preferential certificate is routine paperwork supporting ordinary treatment. The preferential certificate of origin is the document that evidences qualification under a specific agreement and must be presented at import to claim the reduced or zero duty — for example, the ECOWAS Certificate of Origin under the ECOWAS trade liberalisation scheme, or the AfCFTA certificate of origin for trade under the continental agreement.

The practical consequence for a trader is direct: qualification plus documentation equals preference, and a missing or wrongly issued certificate can cost the buyer the entire benefit

even though the goods and the agreement both allow it. The module on logistics documentation treats certificates of origin in depth.

KEY CONCEPT

How contracts support logistics planning and shipment coordination

A well-drafted sales contract is not only a legal shield. It is the operating brief from which the entire logistics plan is built. Every participant in the shipment reads some part of the contract as instructions.

1. Delivery terms direct the transport plan
The delivery term tells the parties who arranges each leg of the journey and to which point. From it, the seller knows whether to engage a freight forwarder at all, the forwarder knows the scope of its instructions, and the buyer knows what to prepare at the receiving end.

2. Delivery dates drive the schedule
The agreed delivery period sets the production and preparation timetable, the booking of vessel or aircraft space, and the receiving arrangements at destination. Booked sailings are missed when nobody has anchored the transport plan to a contractual date.

3. Payment terms dictate the document flow
The payment clause determines which documents must be produced, when, and in what order — the invoice, the transport document, the insurance document where required, the certificates. Preparing a shipment with the payment terms in view prevents the situation where goods are ready but the papers the payment depends on do not exist.

4. Document requirements set the lead times
Certificates take time to obtain. A contract that names the required certificate of origin forces the exporter to start the qualification and application process early, not after the truck has left.

5. Packaging and marking terms protect the cargo
Specifications for packaging, marking and handling translate directly into warehouse and carrier instructions.

Coordination is the thread through all of this. The seller's factory, the forwarder, the carrier, the customs representative and the buyer's warehouse are separate organisations that will never hold a meeting. The contract is the meeting: it is the one document all of them work from, and when its terms are clear, their separate actions fit together. That is what the last objective of this lesson means by contracts supporting effective logistics planning and shipment coordination.

WORKED EXAMPLE

One product, two buyers: why origin documentation decides the duty

A fruit-processing company near Kumasi produces packaged fruit juice from fruit grown and processed in Ghana. It sells 1,200 cartons of the same juice to a wholesaler in Ouagadougou, Burkina Faso, and 1,200 cartons of the same juice to a distributor in Dubai. The product is identical; what differs is the paperwork. All figures in this example are illustrative for teaching purposes.

Step 1: Two contracts are signed

Each sale is recorded in its own contract: the goods, the quantity, the price, the delivery terms, the payment terms. The contract with the Ouagadougou wholesaler states that the goods are of Ghanaian origin and that the seller will provide the preferential certificate of origin required under the regional arrangement. The contract with the Dubai distributor lists the ordinary export documents, with a non-preferential certificate of origin.

Step 2: The qualification is checked before the promise is made

Before promising preferential treatment, the exporter checks its goods against the rules of origin of the regional agreement. The fruit is wholly obtained in Ghana and the juice is processed and packaged at the Kumasi plant, so the goods qualify as originating. Only then does the certificate application go in.

Step 3: The certificates are obtained

For the regional sale, the exporter obtains the preferential ECOWAS certificate of origin, evidencing that the goods are approved as originating in an ECOWAS member state under the ECOWAS Trade Liberalisation Scheme. For the Dubai sale, a non-preferential certificate of origin is issued, supporting ordinary customs treatment at destination.

Step 4: The two borders

The truck carrying the 1,200 cartons to Ouagadougou crosses the border with the preferential certificate in the file. The buyer clears the goods at reduced or zero duty, because the goods qualify and the document proves it. The consignment to Dubai arrives without any applicable preference, and the buyer pays full duty under the ordinary treatment that applies to goods from outside any agreement with its country.

Step 5: The comparison

Same company, same juice, same carton count. The duty outcomes differ entirely because of three things: an agreement between countries, goods that qualify under its origin rules, and the certificate that proves qualification.

What does this example demonstrate?

Preferential treatment is claimed shipment by shipment, not granted by the existence of an agreement. The agreement created the possibility; the origin rules decided whether these goods fit; the certificate carried the claim across the border.

Key lesson: origin documentation is money. A complete, correct preferential certificate turns an ordinary export into a competitive one, and its absence turns a qualifying shipment into a fully dutiful one.

WORKED EXAMPLE

Negotiating the contract: when buyer and seller priorities collide

An equipment trading company in Accra needs an industrial rice mill from a manufacturer in Mumbai, in time for the milling season. It is a costly machine, and this is the first deal between the two companies. Watch how the contract is built out of two clashing sets of priorities. All figures and arrangements in this example are illustrative for teaching purposes.

Step 1: The enquiry and the collision

The buyer sends an enquiry; the manufacturer replies with a quotation and a pro forma invoice. Then the priorities collide. The manufacturer wants full payment before the machine leaves its factory: once the mill sails for West Africa, its leverage is gone. The buyer refuses to pay a large sum up front for a machine it has never seen: if the mill never ships, or ships wrong, its money is gone. Advance payment is safest for the seller and riskiest for the buyer; payment after delivery reverses the risk. Both positions are rational and unacceptable to the other side.

Step 2: The contract resolves the deadlock

Neither party wins outright, so the terms are engineered to give each what it needs: security, converted into checkable obligations.

1. Part payment with the order

The buyer pays part of the price when placing the order, proving commitment and funding the build.

2. Balance against documents

The balance falls due only against documents evidencing that the machine was built and shipped as contracted: the commercial invoice, the transport document, an inspection certificate.

3. Pre-shipment inspection

An independent inspector examines the mill against the agreed specification before shipment. The buyer never touches the machine, but holds third-party evidence of what was built.

4. A defined delivery term

The contract states the delivery term precisely: who arranges the carriage to Tema, and where the risk passes. The next lesson on Incoterms explains the standard rules for this purpose.

5. An agreed dispute resolution clause

The parties name arbitration, so a disagreement has a planned route instead of a courtroom lottery.

Step 3: Performance
The mill is built; the inspector certifies it; it ships; the documents are exchanged and the balance is paid; the machine arrives, clears and is installed before the season. Each payment and handover landed exactly on the checkpoints the contract defined.

What does this example demonstrate?

The contract did not create trust between two companies on opposite sides of the Indian Ocean. It did something better: it replaced trust with obligations each party could verify before taking its own next step.

Key lesson: a well-drafted contract is not paperwork that follows the deal. It is what makes the deal possible between parties who have every reason not to trust each other.

WORKED EXAMPLE

When the terms are not defined: a costly gap in the contract

A food-processing company in Takoradi buys an automatic packaging machine from a machinery supplier in Dubai. The deal is made quickly, by email: supply one packaging machine, at an agreed price, payment of the balance on delivery. Nothing else is written down. No delivery term, no statement of who clears the goods for import, no list of documents, no packaging specification for the machine's sensitive control parts. All figures in this example are illustrative for teaching purposes.

Step 1: The shipment
The supplier ships the machine to Tema and sends the transport documents. In the supplier's understanding, its job ends at the port: its price covered carriage to the port of destination, and import clearance and onward transport were always the buyer's business. In the buyer's understanding, delivery on delivery meant one thing: the machine standing installed-ready at its factory gate in Takoradi. Both parties are sincere. The contract supports neither of them.

Step 2: The gap appears
The machine arrives at the port. The import declaration must be lodged, import duties and taxes must be paid, terminal charges must be settled, and the machine must be trucked 200-plus kilometres to Takoradi. The supplier points to its quotation; the buyer points to the words on delivery. Each waits for the other to move first.

Step 3: The cost of vagueness
The container sits. Time-based storage charges begin to run. The production start date the buyer had promised its own customers slips. Two companies that concluded a friendly sale now exchange reproachful emails instead of plans. Eventually they settle by splitting the unexpected costs between them: nobody is satisfied, the machine arrives late, and neither party is eager to trade with the other again.

Step 4: What a clear contract would have said
Ten lines of defined terms would have prevented all of it: a delivery term naming the point of delivery and who arranges carriage and clearance to it; payment terms tied to defined stages; a list of the documents each party must provide; packaging and marking requirements. Every one of these is a standard term of a well-drafted international sales contract.

What does this example demonstrate?

Undefined terms do not make obligations disappear. They leave the obligations standing, to be allocated later by argument, at the worst possible moment — after the money is committed and the goods are in the port.

Key lesson: the cheapest time to agree who pays for what is before the signature, and the most expensive time is after the container arrives.

IMPORTANT NOTE

An agreement between countries does not exempt a shipment by itself

The most dangerous misunderstanding in this lesson is believing that a trade agreement automatically makes shipments duty-free. It does not. An agreement between countries creates a possibility; the shipment itself must earn it.

Three requirements stand between an agreement on paper and a reduced duty at the border.

1. The agreement must cover the goods
The agreement must be in force between the two countries concerned, and its scope must include the goods being shipped. Agreements list what they cover; not every product of every sector is included.

2. The goods must qualify under the rules of origin
The goods must genuinely meet the agreement's origin rules — wholly obtained, or substantially transformed in the claiming country. Goods produced elsewhere and merely repacked or passed through do not qualify, however they are described.

3. The documents must be right
The claim must be evidenced at import by the required preferential certificate of origin, issued through the proper channel and presented with the consignment. A qualifying shipment without its certificate normally pays full duty.

Miss any one of the three and the preference is lost, even though the agreement exists and the trader speaks confidently about free trade.

There is an integrity edge to this as well, and it echoes the rule from the lesson on logistics documentation that a professional never signs a document its contents cannot support. A certificate of origin must reflect genuine qualification. Obtaining a preferential certificate for

goods that do not qualify is a false declaration, with consequences that outlast any single shipment.

Remember the sentence in full: the agreement opens the door, the goods must fit through it, and the certificate is the key.

IMPORTANT NOTE

A sales contract binds the parties, not the state

A second misconception follows closely from the first: believing that what the contract says overrides what the law requires. It does not.

The sales contract is a private agreement between the buyer and the seller. It binds them, and only them. Customs authorities, licensing bodies and other regulators in either country are not parties to the contract, owe nothing under it, and will not bend their procedures because of it.

Three consequences follow.

1. A contract cannot license what the law prohibits
If goods are prohibited or restricted at either end, a clause in the contract cannot make them tradable. The parties must establish that the goods may lawfully be imported and exported before they sign, not after.

2. Permits and procedures apply regardless
If the import requires a permit, a declaration, payment of duties and taxes or inspection, those requirements attach to the shipment by law. A contract clause saying the seller is responsible for import clearance allocates the duty of doing that work; it does not exempt the work from the law's requirements.

3. Each party remains subject to its own law
If the contract allocates a responsibility to a party that its national law does not permit it to carry out, the law prevails. The disappointment lands on the parties, because the state was never a signatory.

The practical discipline is straightforward: before signing an international sales contract, check the regulatory requirements at both ends of the trade — what may be imported, what permits are needed, what the customs procedures will demand. The contract shapes the deal between the parties; the law of each country shapes what the parties are allowed to do.

IMPORTANT NOTE

One shipment, several agreements

A single international shipment rests on several agreements at once, and confusing them is the classic beginner's error. Learn to hear which agreement a question belongs to.

1. The sales contract
The agreement between buyer and seller governs the commercial deal: the goods, the price, the delivery terms, the payment terms, the documents. When the question is when must I be paid or who supplies the certificate of origin, the answer lives in the sales contract.

2. The contract of carriage
The agreement between the shipper and the carrier governs the movement itself: what is carried, to which port or place, under what terms. The carrier is not a party to the sales contract and does not care when the buyer pays; when the question is who moves the goods and to which point, the answer lives in the contract of carriage.

3. Trade agreements between governments
The agreements between countries govern the conditions at the border: whether the goods may receive preferential duty treatment, under what origin rules and what documentation. Neither the buyer nor the seller signed them, and they promise nothing about anyone's payment. When the question is what duty will the buyer pay, the answer comes from the national tariff as shaped by the applicable trade agreements and the origin of the goods.

Notice how the errors happen. A trader assumes a free trade agreement guarantees payment terms — it does not; that is the sales contract's job. A buyer assumes the sales contract can change the border rules — it cannot; that is the governments' layer. Keeping the three agreements separate in your mind is the final distinction this lesson asks you to carry forward, and it is the distinction the practice questions below test.

Practice questions (Lesson Checks)

Practice Question 1

A retailer in Accra buys a container of goods from a supplier in a neighbouring country. After the goods are delivered, the retailer refuses to pay the invoice, arguing that the two countries have a trade agreement, so the sale should have cost nothing and no payment terms apply.

Which statement best describes this situation?

1. The retailer is right, because a trade agreement between two countries removes the payment obligations of the businesses trading under it.

2. The retailer is wrong, because a trade agreement sets conditions at the border between countries and does not replace the sales contract, which still binds the buyer to the agreed price and payment terms. ✓

3. The retailer is right, because only written contracts signed by both governments can create payment obligations between businesses.

4. The retailer is wrong, because payment terms are set by the shipping line and apply whether or not the parties agreed them.

Correct answer: Answer 2

Explanation

The correct answer is Answer 2.

A trade agreement is an agreement between countries or trading blocs establishing the rules and conditions that govern trade between them, such as reduced duties for qualifying goods at the border. It is made by governments, not by the trading parties, and it says nothing about what one business owes another. The obligation to pay the agreed price comes from the sales contract between the retailer and the supplier, and that contract remains fully binding regardless of what exists at the government level.

Answer 1 confuses the two layers of trade exactly as the lesson's final note warns: an agreement between states never cancels a private payment obligation. Answer 3 invents a requirement that does not exist; commercial contracts between businesses bind them without any government signature. Answer 4 assigns payment terms to the wrong party entirely; the carrier transports goods and does not set the commercial terms of the sale.

The takeaway: keep the layers separate. The trade agreement governs the border; the sales contract governs the parties' obligations, including payment.

Practice Question 2

A Ghanaian exporter sells packaged juice to a buyer in a neighbouring country under a regional trade arrangement that grants reduced duties to originating goods. The goods qualify as originating, but the exporter ships the consignment without obtaining the preferential certificate of origin, thinking the agreement alone is enough.

Which option best explains what will happen at import?

1. The buyer will receive the reduced duty automatically, because the goods qualify and customs can see the goods are from the region.

2. The buyer will normally pay full duty, because the preferential claim must be evidenced at import by the required preferential certificate of origin, which was not presented. ✓

3. The buyer will receive the reduced duty once the seller sends a photocopy of the trade agreement with the shipment.

4. The buyer will pay no duty at all, because goods that qualify under the rules of origin never require supporting documents.

Correct answer: Answer 2

Explanation

The correct answer is Answer 2.

An agreement between countries does not exempt a shipment by itself. The lesson established three requirements: the agreement must cover the goods, the goods must genuinely qualify under the rules of origin, and the claim must be evidenced at import by the required preferential certificate of origin. This shipment meets the first two conditions but fails the third, and a qualifying consignment presented without its preferential certificate normally pays full duty.

Answer 1 fails because customs grants preferences on the basis of documents, not visual judgement about where goods appear to come from. Answer 3 misunderstands the certificate: a copy of the agreement is not an origin document, and the preferential certificate must be issued through the proper channel for the specific consignment. Answer 4 reverses the rule; qualifying goods are precisely the goods that need the preferential certificate, because the certificate is what carries the claim across the border.

The takeaway: agreement, qualification and documentation must all be present. The certificate of origin is money, and leaving it behind forfeits the benefit it exists to prove.

Practice Question 3

A company orders machinery from an overseas supplier. The email agreement states only the machine and the price. It does not state who arranges carriage and import clearance, at which point delivery is complete, or when payment beyond a vague balance on delivery falls due. When the machine arrives at the port, both parties believe the other must pay the arrival charges and transport it inland.

Which statement best explains the commercial problem?

1. The problem is unavoidable in international trade, because delivery and payment responsibilities can never be predicted before goods move.

2. The problem arose because the contract left the delivery and payment obligations undefined, so costs that nobody allocated must now be settled by argument after the money is already committed. ✓

3. The problem is the shipping line's fault, because carriers decide who pays arrival charges whenever the contract is silent.

4. The problem shows that email agreements are not contracts, so neither party owes the other anything.

Correct answer: Answer 2

Explanation

The correct answer is Answer 2.

Undefined terms do not remove obligations; they leave them to be allocated later by dispute, at the worst possible time. The delivery terms of a sales contract exist precisely to state who arranges and pays each stage of the journey and where responsibility passes, and the payment terms exist to state when and against what the seller is paid. When a contract omits them, each party reasonably assumes the arrangement that suits it, and the gap appears when the goods arrive and the charges fall due.

Answer 1 is defeated by the lesson's own worked examples: defined delivery and payment terms are standard, routine contract content, and clarity prevents exactly this dispute. Answer 3 assigns a commercial decision to the wrong party; the carrier applies the transport document, it does not allocate the parties' contractual obligations. Answer 4 overstates: an agreed exchange, even by email, can bind the parties, which is why vague agreements are dangerous rather than harmless.

The takeaway: define delivery, payment and document terms fully before signing. The cheapest time to agree who pays for what is before the signature.

Fact-check appendix (audit notes — not for entry)

Definitions of buyer, seller, international sales contract, purchase order, pro forma invoice, contractual obligation, terms of sale, trade agreement, free trade agreement, breach of contract and dispute resolution follow the lesson's key terms. — source: lesson brief 4.2 key terms (curriculum database), lesson-4.2 brief.

Standard transaction-establishment flow: enquiry/quotation, purchase order raised after internal approval, then shipment, receipt, invoice and payment; the purchase order is the buyer's document specifying goods and proposed terms. — source: research sheet logistics-scm-frameworks.md, section 3 (procurement and the order-to-receipt flow), with the pro forma invoice per trade-transport-standards.md usage and lesson brief definition.

Buyers commonly check order, delivery record and invoice against each other before paying (three-way match principle). — source: research sheet logistics-scm-frameworks.md, section 3.

Incoterms 2020 is the ICC's set of internationally recognised rules used in sales contracts to express delivery terms; it allocates delivery tasks, costs and risk between buyer and seller. — source: research sheet trade-transport-standards.md, section 1 (Incoterms 2020, ICC Publication No. 723). No specific rule allocations are taught in this lesson; that belongs to lesson 4.3.

Advance payment is safest for the exporter and riskiest for the importer; payment after arrival (open account) is the reverse. — source: research sheet trade-transport-standards.md, section 2 (payment methods and risk allocation), taught here only at contract-negotiation level; detailed payment methods belong to lesson 4.4.

Independent pre-shipment inspection certificates attesting quality/quantity/condition at loading are common in trade; contents are contractual, not standardised. — source: research sheet trade-transport-standards.md, section 5 (quality/inspection certificates).

The world trading system's multilateral rules are maintained under the World Trade Organization; its baseline is non-discriminatory most-favoured-nation (MFN) treatment between members, so goods from fellow members normally enter on ordinary terms. — source: general description of the WTO trading system; the MFN concept appears in

trade-transport-standards.md, section 5 (non-preferential certificates support MFN treatment). Described generally, with no membership figures or dates.

A customs union involves members applying a common external tariff — one shared set of duties on goods entering the bloc from outside — with reduced or zero duties between members. — source: general international-trade concept; consistent with trade-transport-standards.md, section 3, which records that Ghana applies the ECOWAS Common External Tariff. No tariff bands or rates are stated in this lesson.

ECOWAS is the regional economic community in West Africa; under the ECOWAS Trade Liberalisation Scheme (ETLS), goods approved as originating in ECOWAS member states move duty-free, evidenced by the ECOWAS Certificate of Origin. — source: research sheet trade-transport-standards.md, section 5 (Ghana-relevant preferential certificates). No rollout or operational detail beyond the sheet is claimed.

The African Continental Free Trade Area (AfCFTA) is a continental trade arrangement under which participating African countries extend preferential treatment to one another's goods under agreed rules of origin, evidenced by the AfCFTA Certificate of Origin. — source: research sheet trade-transport-standards.md, section 5 (AfCFTA Certificate of Origin evidences preference under AfCFTA rules of origin). Scope and membership figures are deliberately omitted.

Rules of origin: non-preferential origin (ordinary/MFN treatment, statistics, marking) versus preferential origin (qualification for reduced duties under a specific agreement); core tests are wholly obtained and substantial transformation, commonly measured by change of tariff classification under the Harmonized System or by processing/value criteria. — source: research sheet trade-transport-standards.md, section 12 (rules of origin) and section 3 (HS as the WCO's international product nomenclature used by more than 200 countries).

Certificate of origin certifies where goods come from; non-preferential certificates support ordinary customs treatment (traditionally certified by chambers of commerce), preferential certificates evidence qualification under a specific trade agreement and must be presented to claim reduced duties. — source: research sheet trade-transport-standards.md, section 5.

The Harmonized System is the international product classification (the WCO's multipurpose nomenclature) used for customs tariffs and referenced by origin rules. — source: research sheet trade-transport-standards.md, section 3; taught only as a one-line reference, structure belongs to other lessons.

Ghana is an ECOWAS member state. — source: research sheet trade-transport-standards.md, section 3 and section 5 (Ghana applies the ECOWAS CET; Ghana adopted the electronic ETLS certificate).

Payment under documentary arrangements flows against documents, and banks deal in documents; referenced here only to explain why payment terms specify required documents. — source: research sheet trade-transport-standards.md, section 2 (letters of credit: banks deal in documents, not goods). Deep treatment belongs to lesson 4.4.

Illustrative example details (Kumasi juice exporter, Ouagadougou and Dubai buyers, Accra–Mumbai machinery negotiation, Takoradi–Dubai machinery purchase, quantities and arrangements) are illustrative teaching constructions with no factual claims attached to real companies. — source: teaching constructs per WRITING_SPEC.md section 4; geography and goods chosen from the spec's approved Ghana locations and goods lists.

Lesson 4.3 — Incoterms and Allocation of Responsibilities

Summary

This lesson introduces Incoterms as internationally recognised trade rules used to clarify the responsibilities of buyers and sellers in the delivery of goods. Learners will examine how

Incoterms allocate transportation obligations, costs, and risks, and understand the importance of selecting appropriate terms for different modes of transportation and commercial arrangements.

Learning objectives

- Define Incoterms and explain their purpose in international trade.
- Identify the organisation responsible for publishing Incoterms rules.
- Explain how Incoterms allocate delivery responsibilities, costs, and risks between buyers and sellers.
- Distinguish between Incoterms rules suitable for any mode of transport and those intended for sea and inland waterway transport.
- Describe the basic responsibilities associated with commonly used Incoterms rules.
- Explain the difference between the transfer of risk and the payment of transportation costs.
- Recognise matters that Incoterms do not determine, including transfer of ownership and payment terms.
- Apply basic Incoterms principles to simple international shipping scenarios.

Key terms

Incoterms — Internationally recognised trade rules published by the International Chamber of Commerce that define specified delivery responsibilities, costs, and risks between buyers and sellers.

International Chamber of Commerce (ICC) — An international business organisation responsible for publishing and maintaining the Incoterms rules.

Incoterms 2020 — The edition of Incoterms rules that entered into effect on 1 January 2020.

EXW (Ex Works) — An Incoterms rule under which the seller makes goods available at a named place, with the buyer assuming most transportation responsibilities and risks from that point.

FCA (Free Carrier) — An Incoterms rule under which the seller delivers goods to the carrier or another person nominated by the buyer at the named place.

FOB (Free on Board) — An Incoterms rule for sea and inland waterway transport under which the seller delivers goods on board the vessel nominated by the buyer at the named port of shipment.

CFR (Cost and Freight) — An Incoterms rule under which the seller pays the cost and freight necessary to bring goods to the named destination port, while risk transfers when the goods are on board the vessel at the port of shipment.

CIF (Cost, Insurance and Freight) — An Incoterms rule similar to CFR, but requiring the seller to obtain the specified minimum level of cargo insurance cover for the buyer's risk.

DAP (Delivered at Place) — An Incoterms rule under which the seller delivers goods when they are placed at the buyer's disposal on the arriving means of transport, ready for unloading at the named destination.

DDP (Delivered Duty Paid) — An Incoterms rule under which the seller assumes extensive responsibilities, including import clearance and applicable import duties, to deliver goods at the named destination ready for unloading.

Transfer of Risk — The point at which the risk of loss or damage to goods passes from the seller to the buyer under the applicable contractual arrangement.

Named Place — The specific location or port identified in an Incoterms clause to establish the relevant delivery or cost obligations.

Teaching content

KEY CONCEPT

What Incoterms are

When a seller in one country and a buyer in another conclude a sale, the goods may travel thousands of kilometres, pass through a seaport or airport, cross a border, and be handled by many organisations along the way. The previous lesson examined how buyers and sellers reach agreement across borders. This lesson examines the short clause that decides who does what during the journey that follows. Before the goods move, both parties must agree on practical questions: who arranges and pays for the international transport, who completes export and import formalities, and who bears the loss if the goods are damaged on the way.

Incoterms exist to answer these questions in a way both parties understand in exactly the same manner.

Incoterms are internationally recognised trade rules published by the International Chamber of Commerce (ICC), the international business organisation responsible for publishing and maintaining the Incoterms rules. They define specified delivery responsibilities, costs, and risks between buyers and sellers. Each rule is a three-letter code, such as EXW, FOB, or CIF.

The current edition is Incoterms 2020, which entered into effect on 1 January 2020 and contains eleven rules. The parties choose one of the eleven, complete it with a named place or port, and record it in their contract of sale. A clause reading FOB Tema, Incoterms 2020 tells both parties who must do what, which costs each bears, and where risk passes from seller to buyer.

The purpose of Incoterms is certainty. Without an agreed standard, a seller in Ghana and a buyer in the Netherlands might each assume the other would arrange the ocean freight, pay the import duties, or carry the risk of damage at sea. Because the rules are published and recognised internationally, a buyer in Hamburg and a seller in Accra read the same meaning in FOB or CIF. Incoterms perform one central job: they take the long journey between seller and

buyer, divide it into individual obligations, and allocate those obligations, with their costs and their risks, between the two parties.

KEY CONCEPT

The journey the rules divide

To see how the eleven rules differ, picture the segments every international consignment passes through. An earlier lesson walked through the full journey of goods stage by stage; Incoterms look at that same journey as a set of responsibilities to be allocated.

1. The seller's premises. The goods are produced, packed, and made available for the journey.

2. Export clearance. The goods are cleared for export in the country of shipment, through export formalities and any applicable export duties.

3. Main carriage. The goods travel the international leg by sea, air, road, rail, or a combination of modes.

4. Arrival. The goods reach the destination port or place and are handled on arrival.

5. Import clearance. The goods are cleared for import in the country of destination, through import formalities and any applicable duties or taxes.

6. The buyer's premises. The goods are delivered to the buyer's warehouse or site.

For each segment, an Incoterms rule answers two questions: who arranges and pays for the segment, and who bears the risk if the goods are lost or damaged during it. Every quotation such as CIF Antwerp or DAP Accra is a completed answer sheet for all six segments.

Two allocations hold across the eleven rules, and they are worth memorising now. Export clearance is the seller's obligation under every rule except EXW, where it falls to the buyer. Import clearance is the buyer's obligation under every rule except DDP, where it falls to the seller. What distinguishes the individual rules is chiefly the allocation of the main carriage and the remaining segments, and the point at which risk passes.

One caution before going further: the party who pays for a segment is not always the party who risks it. The rules separate those two matters, and later in this lesson we will see where the separation matters most.

KEY CONCEPT

Named places and the transfer of risk

Every Incoterms clause must be completed with a named place. A named place is the specific location or port identified in an Incoterms clause to establish the relevant delivery or cost obligations. Depending on the rule, it may be the seller's factory, a port of shipment, a destination port, or the buyer's premises. FOB Tema names Tema as the port of shipment. DAP

Accra names Accra as the destination. The named place is not an administrative detail: it fixes where the seller's delivery obligations end and the buyer's begin.

The second key idea is the transfer of risk. The transfer of risk is the point at which the risk of loss or damage to goods passes from the seller to the buyer under the applicable contractual arrangement. While goods are at the seller's risk, damage before that point is the seller's problem. Once risk has passed, damage is the buyer's problem even if the goods are still at sea, still in a port, or still standing at the seller's factory awaiting collection.

Each rule places this boundary at a different point along the journey. Under EXW, risk passes when the goods are placed at the buyer's disposal at the seller's premises. Under FCA, it passes when the goods are handed to the buyer's carrier at the named place. Under FOB, CFR, and CIF, it passes when the goods are on board the vessel at the port of shipment. Under DAP, it passes only when the goods are placed at the buyer's disposal, ready for unloading, at the named destination.

Two lines therefore run side by side through every Incoterms clause: a cost line, showing who pays for each segment, and a risk line, showing who carries each segment. The skill of reading Incoterms is keeping the two lines apart, because they do not always sit in the same place.

KEY CONCEPT

What Incoterms do not determine

Incoterms allocate tasks, costs, and risk, and nothing more. Three matters sit permanently outside them.

1. Transfer of ownership. No Incoterms rule governs when title to the goods passes from seller to buyer. A sale agreed on CIF terms does not mean the buyer owns the goods from the moment they are loaded on board, and a sale on EXW terms does not mean ownership passes when the goods are placed at the buyer's disposal. Ownership is a matter for the contract and the law that governs it.

2. Payment. Incoterms say nothing about how or when the buyer must pay the price. The three letters allocate transport obligations; they do not create a duty to pay at shipment, on arrival, or at any other point. Payment terms are agreed separately in the contract.

3. Remedies for breach. If a party fails to perform its obligations, Incoterms do not set the consequences. The contract and the applicable law govern what follows a failure to deliver, to pay, or to insure where such an obligation exists.

For these reasons, Incoterms never replace the contract of sale. They operate inside it: the parties agree an Incoterms rule as one clause among many. A contract that states only FOB Tema, Incoterms 2020 and nothing else would be a very incomplete contract, because it would say nothing about price, payment, delivery schedule, quality, or dispute resolution. The

Incoterms clause answers one set of questions precisely — who does what, who pays which costs, where risk passes — and is silent on everything else.

KEY CONCEPT

The two families: rules for any mode and rules for the sea

The eleven Incoterms 2020 rules divide into two families according to the transport they suit.

The first family contains four rules intended only for sea and inland waterway transport: FAS (Free Alongside Ship), FOB (Free on Board), CFR (Cost and Freight), and CIF (Cost, Insurance and Freight). These rules describe delivery in maritime terms — goods placed alongside the ship, or on board the vessel, at the named port of shipment. They should be chosen when the agreed delivery genuinely takes place in that way, at a seaport.

The second family contains seven rules suitable for any mode of transport — road, rail, air, sea, or a combination of modes: EXW (Ex Works), FCA (Free Carrier), CPT (Carriage Paid To), CIP (Carriage and Insurance Paid To), DAP (Delivered at Place), DPU (Delivered at Place Unloaded), and DDP (Delivered Duty Paid). These rules describe delivery as handing goods over at a named place rather than loading them on board a vessel, which makes them fit containerised cargo, air consignments, and multimodal journeys that combine several modes.

The distinction matters in practice. A manufacturer in Accra sending spare parts by air from Kotoka International Airport needs a rule from the any-mode family, such as CIP or DAP; agreeing CIF would misstate the parties' obligations, because CIF is reserved for sea and inland waterway transport whatever the goods are. The rule must match the manner of delivery, not merely the destination.

Matching the family to the mode is therefore the first discipline of using Incoterms correctly: identify where and how the goods will actually be delivered, then choose from the family that describes that delivery.

KEY CONCEPT

The four groups: a progression of seller responsibility

The eleven rules are conventionally arranged in four groups — E, F, C, and D — according to how far along the journey the seller's responsibilities extend. Read in order, the groups form a progression from the seller's minimum to the seller's maximum.

1. Group E — EXW (Ex Works). The seller's only delivery obligation is to make the goods available at its own premises. From that point the buyer assumes most transportation responsibilities and risks. This is the seller's minimum.

2. Group F — FCA, FAS, and FOB. The seller delivers the goods to a carrier nominated by the buyer: handed to the carrier at the named place under FCA, placed alongside the ship under

FAS, or loaded on board the vessel under FOB. The buyer arranges and pays for the main carriage. The seller's responsibility stops at the agreed handover.

3. Group C — CFR, CIF, CPT, and CIP. The seller takes one large step further: it arranges and pays for the main carriage to the destination. But the risk does not follow the freight. Under CFR and CIF risk passes when the goods are on board the vessel at the port of shipment; under CPT and CIP it passes on handover to the first carrier. The seller pays to the destination while the buyer already carries the risk — the group's defining feature.

4. Group D — DAP, DPU, and DDP. The seller bears responsibility until the goods arrive at the destination: DAP, when they are placed at the buyer's disposal, ready for unloading, at the named destination; DPU — renamed from DAT in Incoterms 2020 — once they are unloaded, the only rule under which the seller unloads; and DDP, when delivery is complete with import clearance and applicable duties also carried by the seller. This is the seller's maximum.

As the groups progress from E to D, the seller's tasks and costs reach further along the journey. Only in group C, as we shall see, do the cost and the risk travel different distances.

KEY CONCEPT

EXW: Ex Works, the seller's minimum

EXW (Ex Works) is the rule under which the seller makes the goods available at a named place — in practice usually the seller's own factory or warehouse — with the buyer assuming most transportation responsibilities and risks from that point. The seller's obligation is close to the minimum imaginable: produce the goods, pack them, and place them at the buyer's disposal. Under the standard allocation of Incoterms 2020, export clearance is the buyer's obligation under EXW — the only one of the eleven rules under which the seller does not clear the goods for export.

Consider what that means for an international sale. A buyer in another country, possibly with no presence in the seller's country at all, must arrange collection from the factory, complete export formalities in a foreign administrative system, and carry the risk of the goods from the moment they are placed at its disposal at the seller's premises. For this reason plain EXW is widely regarded as impractical for international sales.

Where the buyer cannot take on export clearance, a rule from the F group usually fits better, most commonly FCA, under which the seller delivers the goods, cleared for export, to the carrier nominated by the buyer at the named place. The seller performs the formalities of its own country; the buyer keeps control of the main carriage.

EXW still has legitimate uses, particularly for domestic-style purchases or for buyers with a local representative able to handle export clearance on the spot. Risk under EXW passes when the goods are placed at the buyer's disposal at the seller's premises. From that point — loading, inland transport, export clearance, the main carriage, arrival, and import clearance — the buyer

pays for each segment and carries the risk of each segment. Of the eleven rules, EXW gives the seller the shortest list of duties and the buyer the longest.

KEY CONCEPT

FCA: Free Carrier, handing over to the buyer's carrier

FCA (Free Carrier) is the rule under which the seller delivers the goods to the carrier, or another person, nominated by the buyer at the named place. The buyer chooses the carrier and contracts for the main carriage; the seller's job is to deliver the goods, cleared for export, into that carrier's custody at the agreed place.

The allocations follow the F-group pattern. Export clearance belongs to the seller, as it does under every rule except EXW. The main carriage belongs to the buyer, who nominated the carrier and pays the freight. Risk passes when the goods are handed over to the buyer's carrier at the named place: damage before the handover is the seller's to bear, damage after it is the buyer's.

The named place deserves attention, because it decides where the handover happens. Under FCA it may be the seller's own premises or another agreed point such as a terminal; whatever the parties choose, the named place fixes where the seller's delivery ends and the buyer's carriage begins. Vague wording such as FCA Tema without specifying the precise point invites disputes about whether delivery was completed.

FCA belongs to the any-mode family, which makes it suitable for containerised cargo: containers are commonly handed to the carrier at a terminal before the vessel arrives, and FCA describes exactly that kind of handover at a named place. An exporter of 400 cartons of shea butter agreeing FCA a named terminal in Tema clears the goods for export and delivers them to the buyer's nominated carrier there; from that handover the buyer carries the risk and pays for the carriage onward to, say, Hamburg.

KEY CONCEPT

FOB: Free on Board at the port of shipment

FOB (Free on Board) is a rule for sea and inland waterway transport under which the seller delivers the goods on board the vessel nominated by the buyer at the named port of shipment.

The pattern will now be familiar. Export clearance is the seller's obligation. The buyer nominates the vessel and arranges and pays for the main carriage. Risk passes when the goods are on board the vessel at the port of shipment: getting the goods onto the ship is at the seller's risk, and from the moment they are on board, the voyage and everything after it are at the buyer's.

FOB sits in the maritime family alongside FAS, which describes delivery one step earlier: under FAS the seller delivers when the goods are placed alongside the ship at the port of shipment, and the loading step itself belongs to the buyer. FOB moves the boundary one stage forward, onto the vessel.

A practical warning belongs here and is developed later in this lesson. FOB requires delivery on board the vessel. Where cargo is handed to the carrier at a terminal before the vessel arrives — the normal pattern for containerised shipments — the delivery that FOB describes does not match what actually happens, and FCA is the appropriate rule. FOB fits a sale in which the goods genuinely go on board the ship at the load port.

Summarising FOB in the two lines used throughout this lesson: the cost line runs from the seller's premises through export clearance to the ship at the named port of shipment, after which every cost is the buyer's; the risk line ends at the same point, when the goods are on board. Under FOB the two lines sit together; the split comes with the C rules, where the cost line runs on while the risk line does not.

KEY CONCEPT

CFR and CIF: paying to the destination, risk remaining at shipment

CFR (Cost and Freight) is the rule under which the seller pays the cost and freight necessary to bring the goods to the named destination port, while risk transfers when the goods are on board the vessel at the port of shipment. Read those two halves slowly, because they point in different directions. The seller's cost obligation runs to the destination port; the seller's risk ends at the port of shipment, the moment the goods are on board.

Everything between the two ports — the ocean voyage itself — is paid for by the seller yet carried at the buyer's risk. If the vessel suffers a fire mid-voyage, the loss falls on the buyer, not on the seller who bought the freight. Paying for carriage does not mean bearing the risk to destination. The remaining allocations are conventional: the seller clears the goods for export and contracts the ocean freight to the named destination port; import clearance is the buyer's, as it is under every rule except DDP.

CIF (Cost, Insurance and Freight) is the same rule with one addition: the seller must obtain cargo insurance for the buyer's risk at the specified minimum level of cover. Under Incoterms 2020 that minimum is Institute Cargo Clauses (C) — the most basic of the standard market covers, directed at major casualties such as fire, explosion, or a vessel stranding or sinking.

A duty to insure exists only under CIF and CIP. Under every other rule, neither party is obliged by the rule to insure, although a party bearing the risk of a segment may insure in its own interest.

CIF has an any-mode counterpart: CPT (Carriage Paid To) and CIP (Carriage and Insurance Paid To) mirror CFR and CIF for any mode of transport. Under CPT and CIP, risk passes on handover to the first carrier — earlier still than on board a vessel — and CIP's insurance duty sits at the higher Institute Cargo Clauses (A) level, the broadest standard cover, insuring against all risks of loss or damage except those specifically excluded. A CIF price is therefore a higher price than an FOB price at the same load port, because the freight to the destination sits inside the seller's costs.

KEY CONCEPT

DAP and DDP: delivery at the destination

DAP (Delivered at Place) is the rule under which the seller delivers the goods when they are placed at the buyer's disposal on the arriving means of transport, ready for unloading, at the named destination. The seller arranges and pays for the transport to that destination: export clearance, the main carriage, and the journey to the named place all belong to the seller. Unloading is not the seller's job under DAP — the goods are delivered ready for unloading, and unloading them falls on the buyer's side of the boundary. If the parties want the seller to unload, DPU (Delivered at Place Unloaded), renamed from DAT in Incoterms 2020, is the rule that provides it, and it is the only one of the eleven under which the seller unloads.

Import clearance remains the buyer's under DAP, as under every rule except DDP. Risk passes when the goods are placed at the buyer's disposal, ready for unloading, at the named destination: the seller carries the risk across the entire journey, up to that point.

DDP (Delivered Duty Paid) is the seller's maximum. Under DDP the seller assumes extensive responsibilities, including import clearance and the applicable import duties, to deliver the goods at the named destination ready for unloading. The seller carries export clearance, the main carriage, arrival at destination, and even the formalities and duties of the customs system on the buyer's side of the border. Risk passes at the same point as under DAP, with the added feature that import clearance has already been completed by the seller.

Between them, DAP and DDP mark the far end of the progression that began with EXW. Under EXW the seller's duty ends at its own premises and the buyer does nearly everything. Under DAP the seller carries the goods to the buyer's door while the buyer clears them in. Under DDP the seller does even that. What the buyer must arrange shrinks from almost everything to almost nothing — and that is the scale on which every Incoterms choice moves.

WORKED EXAMPLE

FOB Tema or CFR Rotterdam: what changes for the seller

A Ghanaian manufacturer of cocoa products receives an order from a chocolate maker in Rotterdam for one container load — 18 pallets — of cocoa butter. The goods will sail from Tema to Rotterdam. The parties consider two versions of the same sale.

Step 1: the sale on FOB Tema, Incoterms 2020 terms. The seller packs and marks the 18 pallets, completes export clearance in Ghana — the seller's obligation under FOB — and delivers the goods on board the vessel nominated by the buyer at the named port of shipment, Tema. The buyer has booked the ocean freight and nominated the vessel. Risk passes when the goods are on board at Tema. From that moment, the ocean voyage, arrival in the Netherlands, and import clearance there are the buyer's affair, at the buyer's cost and risk.

Step 2: the same sale on CFR Rotterdam, Incoterms 2020 terms. The seller still packs the pallets and still completes export clearance. The seller must now do one large extra thing: contract and

pay the cost and freight necessary to bring the goods to the named destination port, Rotterdam. The buyer no longer books the ocean leg.

Step 3: notice what does not change. Risk still passes when the goods are on board the vessel at Tema, because under CFR risk transfers at the port of shipment even though freight has been paid to Rotterdam. If the container is damaged by seawater halfway across the ocean, the loss is the buyer's, not the seller's. Note also that under CFR neither party is obliged by the rule to insure; had the parties chosen CIF instead, the seller would additionally have had to obtain minimum cover — Institute Cargo Clauses (C) — for the buyer's risk.

Step 4: compare the seller's position under the two rules.

1. Packing and making the goods available: the seller, under both rules.
2. Export clearance in Ghana: the seller, under both rules.
3. Ocean freight: the buyer arranges and pays under FOB Tema; the seller under CFR Rotterdam.
4. Point of risk transfer: on board at Tema, under both rules.
5. Import clearance in the Netherlands: the buyer, under both rules.

What does this example demonstrate? Moving from FOB to CFR shifts one cost obligation: the ocean freight moves from the buyer to the seller. It does not move the risk. A seller offering CFR Rotterdam is buying a service for its customer — carriage to the destination port — not accepting the risk of the voyage.

Key lesson: under the C rules, the cost boundary and the risk boundary sit in different places. Quote the rule with its edition, and know which line is which.

WORKED EXAMPLE

Buying machinery DAP Accra or EXW Mumbai: what the buyer arranges

An engineering company in Accra needs one industrial machine from a manufacturer in Mumbai. The same purchase can be written in two very different ways, and the Incoterms clause decides how much of the journey the buyer must organise.

Scenario A: EXW Mumbai (the seller's works), Incoterms 2020. The seller makes the machine available, packed, at its factory. Everything after that is the buyer's to arrange.

1. Collection from the factory and loading: the buyer.
2. Inland transport across India to a port: the buyer.
3. Export clearance in India: the buyer's obligation under EXW — the rule's great practical weakness, because the buyer must complete export formalities in a country where it does not operate.
4. Ocean freight from India to Ghana: the buyer.
5. Arrival handling and import clearance in Ghana: the buyer.
6. Delivery from the port to the buyer's premises in Accra: the buyer.

The buyer also carries the risk from the moment the machine is placed at its disposal at the Mumbai factory. If the machine is damaged while being loaded onto the collecting truck outside the factory, that is the buyer's loss.

Scenario B: DAP Accra (the buyer's premises), Incoterms 2020. Almost the whole picture reverses. The seller arranges and pays for the transport from its Mumbai factory to the buyer's premises in Accra, including export clearance in India and the main carriage. The machine travels at the seller's risk until it is placed at the buyer's disposal, ready for unloading, at the named destination. What remains for the buyer?

1. Unloading the machine: the buyer's, because DAP delivery is ready for unloading.
2. Import clearance in Ghana, with any applicable duties: the buyer's under DAP, as under every rule except DDP.

Had the parties chosen DDP instead, the seller would also have completed import clearance and paid the import duties, and the buyer's only remaining task would have been to unload.

What does this example demonstrate? The Incoterms rule decides what an importer must organise. On EXW terms the buyer is the transport manager for the entire journey, including export formalities in a foreign country — which is why plain EXW is impractical for many international purchases. On DAP terms the buyer's practical involvement begins at its own gate, with unloading and import clearance.

Key lesson: before signing, an importer should read the three letters carefully. The difference between EXW and DAP is, for the buyer, the difference between arranging everything and arranging almost nothing.

WORKED EXAMPLE

One journey, three rules: who pays and who risks

A shea butter exporter in Ghana ships 800 cartons from Tema to Antwerp. The clause will be completed with the edition in every case — for example, CIF Antwerp, Incoterms 2020. To see how three different rules allocate the same journey, walk it segment by segment.

The segments are: 1. the seller's premises, where the goods are packed and made available; 2. export clearance in Ghana; 3. the main carriage, ocean freight from Tema to Antwerp; 4. arrival at Antwerp; 5. import clearance in Belgium; 6. final delivery at the buyer's premises.

Under EXW terms, the seller completes only segment 1. The buyer arranges export clearance, books the freight, manages arrival, clears the goods in Belgium, and delivers them to its own premises. Risk passes at the seller's premises, at the very start of segment 2.

Under CIF terms, the seller packs, clears export, and contracts and pays the ocean freight to Antwerp, and must also obtain cargo insurance at the minimum Institute Cargo Clauses (C) level for the buyer's risk. But the risk passes when the goods are on board the vessel at Tema. So the

seller pays for segments 1 to 3, while the risk leaves the seller partway through segment 3, at loading, and the buyer handles segments 4 to 6, carrying the risk of the voyage itself.

Under DDP terms, the seller packs, clears export, pays the freight, manages arrival, completes import clearance in Belgium, pays the applicable import duties, and delivers the goods ready for unloading at the buyer's premises. Risk stays with the seller until the goods are placed at the buyer's disposal at the named destination.

Read the allocation as a whole.

1. Segment 1 is the seller's under all three rules — the one segment no rule takes away from the seller.
2. Segment 2, export clearance, is the buyer's only under EXW.
3. Segment 3, the main carriage, is the buyer's under EXW and the seller's under CIF and DDP.
4. Segments 4 to 6 return progressively to the seller as the rule moves towards DDP.
5. Import clearance in Belgium is the seller's only under DDP.

What does this example demonstrate? The three rules are points on one scale. EXW and DDP are the two ends, and CIF sits between them with its split character: costs run to Antwerp, risk stops at Tema.

Key lesson: for any rule, a trader can ask two questions per segment — who pays, and who risks — and the eleven rules give eleven different but complete sets of answers.

IMPORTANT NOTE

Under the C rules, risk passes at shipment

The most common misunderstanding in all of Incoterms practice concerns the C group. A buyer hears that the seller is paying freight to the destination and concludes that the goods are the seller's problem until they arrive. Under CFR, CIF, CPT, and CIP, that conclusion is wrong. Under all four C rules the seller pays for carriage to the destination, but the risk passes to the buyer at shipment: under CFR and CIF, when the goods are on board the vessel at the port of shipment; under CPT and CIP, on handover to the first carrier. Both points lie far earlier than the destination.

Picture a consignment sold on CIF Rotterdam, Incoterms 2020 terms. The seller has cleared the goods for export, paid the ocean freight, and obtained the minimum insurance — Institute Cargo Clauses (C) — for the buyer's risk. Halfway across the ocean the vessel suffers a fire and the goods are damaged. Who bears the loss? The buyer, because risk passed at the port of shipment when the goods went on board, even though the seller paid the freight and the goods never reached Rotterdam. The buyer's practical protection is the insurance the seller was obliged to arrange for the buyer's benefit.

Paying for carriage does not mean bearing the risk to destination. The cost line and the risk line are two separate lines, and under the C rules they sit in different places. This single point

explains a great deal of commercial behaviour, and it is why the phrase the seller pays to destination must always be completed with but risk passes at shipment.

IMPORTANT NOTE

Incoterms do not transfer ownership or decide payment

Two questions arise in almost every sale, and Incoterms answer neither of them.

The first is ownership. No Incoterms rule determines when title to the goods passes from seller to buyer. A contract on FOB terms does not mean the buyer owns the goods from the moment they are on board; a contract on DDP terms does not mean the seller keeps ownership until delivery at the destination. Ownership is decided by the contract and the law that governs it, not by the trade term.

The second is payment. Incoterms say nothing about how or when the buyer must pay. Whether the buyer pays before shipment, against documents, or weeks after delivery is a matter for the contract — the subject of the next lesson, which examines international trade payment methods. The same silence extends to what happens when a party fails to perform: remedies for breach are for the contract and the applicable law.

For all these reasons, an Incoterms clause does not replace the contract of sale. It is one clause inside the contract, doing one defined job: allocating tasks, costs, and risk along the journey. A complete international sales contract still needs its price, payment terms, delivery schedule, quality specification, and arrangements for disputes — and it should state which Incoterms edition applies, because the rules are revised between editions.

Remember: Incoterms tell the parties who carries the goods along the journey. They do not tell the parties who owns the goods, who owes money, or when.

IMPORTANT NOTE

Match the rule to the journey, and always cite the edition

Three drafting habits prevent most Incoterms mistakes.

1. Cite the edition. Always name the edition and the named place: CFR Rotterdam, Incoterms 2020; DAP Accra, Incoterms 2020. The word Incoterms without a year is incomplete, because the rules are revised over time, and an unspecified reference invites argument about which version governs.

2. Match the rule to the actual delivery. FOB requires delivery on board the vessel at the port of shipment. Containerised cargo is normally handed to the carrier at a terminal before the vessel arrives, yet FOB is often wrongly used for such shipments. The correct rule is FCA, which describes exactly that handover of goods to the buyer's carrier at a named place. Choosing FOB for a container handed over at a terminal writes an obligation into the contract that does not match the physical operation.

3. Respect what each rule demands of the parties. Under EXW the buyer bears the obligation to clear the goods for export in the seller's country, which makes plain EXW impractical for most international sales. Under DDP the seller must complete import clearance and pay import duties in the buyer's country — rarely workable for a seller without the necessary registration or presence there. Choose the rule whose obligations a party can actually perform.

A well-written clause answers three things at once: the three-letter rule, the named place as precisely as the parties can make it, and the edition. Getting this right is not pedantry: the Incoterms clause is the shortest sentence in the contract and the one that decides, if a container is lost at sea, whose loss it is.

Practice questions (Lesson Checks)

Practice Question 1

A company in Accra imports ceramic tiles sold on CFR Tema, Incoterms 2020 terms. The seller in Antwerp clears the tiles for export, contracts and pays the ocean freight to Tema, and loads them on board at Antwerp. During the voyage, seawater damages part of the consignment.

Which statement best describes who bears the loss?

1. The seller bears the loss, because it arranged and paid the ocean freight to Tema.

2. The buyer bears the loss, because under CFR risk transferred when the goods were placed on board the vessel at the port of shipment. ✓

3. The seller bears the loss, because risk passes only when the goods arrive at the destination port.

4. The loss falls to whichever party owns the goods at the time of the damage, as determined by the Incoterms rule.

Correct answer: Answer 2

Explanation

The correct answer is Answer 2.

Under CFR the seller pays the cost and freight necessary to bring the goods to the named destination port, but risk transfers when the goods are on board the vessel at the port of shipment — in this case, Antwerp. From that moment the ocean voyage is at the buyer's risk, even though the seller bought the freight. Paying for carriage does not mean bearing the risk to destination; under all four C rules the cost line and the risk line sit in different places.

Answer 1 fails because paying freight is a cost obligation, not a risk obligation. Answer 3 fails because it describes a D-group expectation: under CFR, risk does not wait for arrival at Tema.

Answer 4 fails twice, because Incoterms do not determine ownership at all, and the allocation of risk comes directly from the rule itself.

The takeaway: quote the C rule with its edition, and remember that the seller pays to the destination while the buyer risks the voyage from shipment.

Practice Question 2

A supplier in Hamburg and a buyer in Tema sign a contract stating: CIF Tema, Incoterms 2020. A dispute later arises about when the buyer must pay for the goods and when ownership of the goods passes to the buyer.

Which statement best explains how these matters are settled?

1. Payment and ownership follow the Incoterms rule, so CIF fixes both the moment of payment and the moment of transfer of ownership.

2. Incoterms allocate delivery responsibilities, costs, and risk only; payment and transfer of ownership are governed by the rest of the contract and the applicable law. ✓

3. Ownership passes on delivery and payment falls due on arrival, because every Incoterms rule contains these two default rules.

4. Because the contract names Incoterms 2020, the rule replaces the contract entirely for all disputed matters.

Correct answer: Answer 2

Explanation

The correct answer is Answer 2.

Incoterms do one defined job: they allocate delivery responsibilities, costs, and risk between seller and buyer along the journey. They do not govern the transfer of ownership, they do not set payment terms, and they do not provide remedies for breach. Those matters come from the contract of sale itself and the law that governs it, with the Incoterms clause operating inside the contract rather than above it.

Answer 1 fails because no Incoterms rule determines ownership or payment. Answer 3 fails because the rules contain no such defaults: CIF says nothing about payment falling due on arrival. Answer 4 fails because Incoterms never replace the contract; they are a single clause within a contract that must still cover price, payment, and everything else the parties have agreed.

The takeaway: the three letters answer the transport questions — who does what, who pays, where risk passes — while money and title live in the rest of the contract.

Practice Question 3

A manufacturer in Accra will send a consignment of spare parts by air from Kotoka International Airport to a customer in Dubai. A colleague proposes agreeing CIF Dubai, arguing that the term is suitable because it includes insurance.

Which option best explains the appropriate choice?

1. CIF is suitable, because air freight is simply a faster form of carriage to the named destination.

2. CIF should be replaced by DDP, because air shipments always require the seller to complete import formalities.

3. CIF is reserved for sea and inland waterway transport; for an air consignment the parties should use an any-mode rule such as CIP, which also contains a seller's insurance obligation. ✓

4. CIF may be used for air freight provided the named place is changed from a port to an airport.

Correct answer: Answer 3

Explanation

The correct answer is Answer 3.

The eleven Incoterms 2020 rules divide into two families. Four rules — FAS, FOB, CFR, and CIF — are intended only for sea and inland waterway transport. The other seven — EXW, FCA, CPT, CIP, DAP, DPU, and DDP — can be used for any mode, including air. An air consignment therefore needs a rule from the any-mode family, and CIP is the natural choice here because it mirrors CIF: the seller pays for carriage to the destination, carries the risk only to the first carrier, and must obtain cargo insurance, at the higher Institute Cargo Clauses (A) level.

Answer 1 fails because speed is irrelevant to the mode restriction. Answer 2 fails because nothing about air transport requires DDP, under which the seller would also clear import formalities in Dubai. Answer 4 fails because renaming the place does not change the rule's restriction to sea and inland waterway transport.

The takeaway: match the family to the mode of transport first, then refine the choice within that family.

Fact-check appendix (audit notes — not for entry)

Incoterms are internationally recognised trade rules published by the International Chamber of Commerce (ICC) that define specified delivery responsibilities, costs, and risks between buyers and sellers — source: curriculum/research/trade-transport-standards.md, section 1 (ICC-sourced).

The current edition is Incoterms 2020, eleven three-letter rules, in effect since 1 January 2020 — source: curriculum/research/trade-transport-standards.md, section 1 (ICC).

Incoterms do not govern transfer of ownership/title, payment terms, or breach remedies; they allocate transport tasks, costs, and risk only — source: curriculum/research/trade-transport-standards.md, section 1 (ICC).

Four rules are maritime-only (sea and inland waterway): FAS, FOB, CFR, CIF; seven rules suit any mode: EXW, FCA, CPT, CIP, DAP, DPU, DDP — source: curriculum/research/trade-transport-standards.md, section 1 (ICC).

Export clearance is the seller's obligation under all rules except EXW, where it is the buyer's; this makes plain EXW impractical for international sales — source: curriculum/research/trade-transport-standards.md, section 1 (ICC).

Import clearance is the buyer's obligation under all rules except DDP, where it is the seller's — source: curriculum/research/trade-transport-standards.md, section 1 (ICC).

Main carriage is arranged and paid by the buyer under E and F rules and by the seller under C and D rules — source: curriculum/research/trade-transport-standards.md, section 1 (ICC).

Risk transfer points: EXW — goods placed at seller's disposal at its premises; FCA — handover to the buyer's carrier at the named place; FAS — goods placed alongside the ship at the port of shipment; FOB, CFR, and CIF — goods on board the vessel at the port of shipment; CPT and CIP — handover to the first carrier; DAP — goods at the buyer's disposal, ready for unloading, at the named destination; DPU — same but after unloading; DDP — same as DAP plus import clearance done by the seller — source: curriculum/research/trade-transport-standards.md, section 1 (ICC).

Under all four C rules (CFR, CIF, CPT, CIP) the seller pays carriage to destination but risk passes at shipment — paying for carriage does not mean bearing the risk to destination — source: curriculum/research/trade-transport-standards.md, section 1 (ICC).

A duty to insure exists only under CIF and CIP: CIF at minimum Institute Cargo Clauses (C) cover, CIP at the higher Institute Cargo Clauses (A) cover; under all other rules there is no obligation, though a party bearing risk may insure in its own interest — source: curriculum/research/trade-transport-standards.md, section 1 (ICC).

Institute Cargo Clauses (C) is directed at major casualties (fire, explosion, stranding/grounding/sinking, collision and similar); ICC(A) is the broadest standard cover, insuring against all risks of loss or damage subject to exclusions — source: curriculum/research/trade-transport-standards.md, section 10.

DPU is the renamed DAT (Incoterms 2020 change) and is the only rule under which the seller unloads — source: curriculum/research/trade-transport-standards.md, section 1 (ICC).

Common misuse warnings taught in this lesson: naming Incoterms without the year is incomplete; FOB is often wrongly used for containerised cargo handed over at a terminal, for which FCA is correct; DDP is rarely workable for sellers without import registration or tax presence in the buyer's country — source: curriculum/research/trade-transport-standards.md, section 1 (ICC guidance / trade.gov).

Companies, quantities, routes, and scenarios in the worked examples are illustrative teaching situations — source: general business knowledge.

Lesson 4.4 — International Trade Payment Methods

Summary

This lesson introduces the major payment methods used in international trade and explains how buyers and sellers manage payment obligations and commercial risks. Learners will examine advance payment, open account transactions, documentary collections, and letters of credit, including their advantages, limitations, and suitability for different trading relationships.

Learning objectives

- Explain the importance of payment arrangements in international trade.
- Identify the major payment methods used in international commercial transactions.
- Describe how advance payment and open account arrangements operate.
- Explain the basic processes involved in documentary collections.
- Describe the purpose and operation of documentary letters of credit.
- Compare international payment methods based on buyer risk, seller risk, cost, and complexity.
- Identify the roles of banks in facilitating international trade payments.
- Recognise factors that influence the selection of an appropriate payment method.

Key terms

International Trade Payment — The transfer of funds between trading parties to settle financial obligations arising from international commercial transactions.

Advance Payment — A payment arrangement in which the buyer pays the seller before goods are shipped or delivered.

Open Account — A payment arrangement in which the seller supplies goods before receiving payment, usually within an agreed credit period.

Documentary Collection — A payment arrangement in which banks handle commercial or financial documents according to collection instructions, without generally guaranteeing payment.

Documents Against Payment (D/P) — A documentary collection arrangement in which specified documents are released to the buyer against payment.

Documents Against Acceptance (D/A) — A documentary collection arrangement in which specified documents are released to the buyer against acceptance of a time draft.

Letter of Credit (L/C) — A bank's undertaking to honour a complying presentation of documents under the terms and conditions of the credit.

Issuing Bank — The bank that issues a letter of credit at the request of an applicant or on its own behalf.

Advising Bank — The bank that advises a letter of credit to the beneficiary, normally after checking its apparent authenticity.

Beneficiary — The party in whose favour a letter of credit is issued, usually the seller or exporter.

Applicant — The party requesting the issuance of a letter of credit, usually the buyer or importer.

Bill of Exchange — A written, unconditional order directing one party to pay a specified sum of money to another party, either on demand or at a determinable future time.

Trade Finance — Financial products and services used to facilitate domestic and international trade transactions.

Payment Risk — The possibility of financial loss arising from delayed, incomplete, or failed payment.

Teaching content

KEY CONCEPT

Why payment arrangements matter in international trade

In every sale of goods, two movements must take place: goods travel from the seller to the buyer, and money travels from the buyer to the seller. In a shop, both movements happen at the same moment. In international trade they almost never do. A consignment may take weeks to cross an ocean, so one party must always act first: either the seller ships goods it has not yet been paid for, or the buyer pays for goods it has not yet seen.

An international trade payment is the transfer of funds between trading parties to settle financial obligations arising from international commercial transactions. A payment arrangement is the agreed method and set of conditions under which those funds move.

International payments are more delicate than domestic ones. The parties are located in different countries, often under different legal systems, and may never meet face to face. Pursuing a claim in the other party's country can be slow, expensive, and uncertain. A seller in Tamale knows little about a buyer in Rotterdam, and the reverse is equally true.

This uncertainty creates payment risk, which is the possibility of financial loss arising from delayed, incomplete, or failed payment. Payment risk takes several forms: an exporter ships goods and is never paid in full; an importer pays in advance and the goods are never produced; payment arrives late and disrupts the exporter's cash flow.

Every payment arrangement answers two questions. First, who moves first: does the money travel before the goods, or the goods before the money? Second, what does the first mover rely

on: the other party's promise alone, or the documented commitment of a bank? Each method in this lesson is a different answer to those two questions.

KEY CONCEPT

The main payment methods and the risk spectrum

The major payment methods used in international commercial transactions are advance payment, open account, documentary collection, and the documentary letter of credit. They are best understood as points on a single spectrum, from the methods most favourable to the importer to those most favourable to the exporter.

From the exporter's point of view, the ladder of security looks like this.

1. Open account offers the least protection. The exporter ships and waits, trusting the buyer to pay later.
2. Documentary collections offer more. The exporter keeps control of the documents needed to claim the goods until the buyer pays or promises to pay, although the banks do not promise payment themselves.
3. The letter of credit offers more still. An issuing bank commits to pay when the exporter presents documents that comply with the credit.
4. Advance payment offers the most. The exporter holds the money before the goods leave.

From the importer's point of view, this order is exactly reversed. Advance payment is the most secure method for the exporter and the most exposing for the importer, because the buyer pays before the goods exist. Open account is the reverse: comfortable for the importer and riskiest for the exporter.

This is the central idea of the lesson: risk does not disappear as methods change; it shifts. Whatever protects one side exposes the other, like the two ends of a see-saw.

The bank-intermediated methods, documentary collections and letters of credit, occupy the middle of the spectrum because a neutral third party steps in: as a handler of documents in a collection, or as a bank that commits to pay in a letter of credit. That involvement adds cost and complexity, which generally rise towards the letter of credit end.

KEY CONCEPT

Advance payment: cash with order

Advance payment is a payment arrangement in which the buyer pays the seller before goods are shipped or delivered. It is also known as cash in advance or cash with order, because the order is paid for when it is placed.

The sequence is straightforward.

1. The parties agree a sales contract requiring payment before shipment.
2. The buyer transfers the agreed funds to the seller.
3. Only when the money has arrived does the seller produce, pack, and ship the goods.

For the exporter, this is the safest arrangement available. Production costs are covered before a single drum leaves the factory, working capital is released rather than tied up, and the question of whether the buyer will pay effectively disappears.

For the importer, it is the most dangerous arrangement on the spectrum. The buyer pays before the goods exist. If the seller never produces the goods, produces them to a poor standard, or ships them late, the buyer has already lost its money and must try to recover it across a national border from the very party that caused the problem.

Advance payment appears mainly in three situations: where the seller's goods are in such demand that buyers accept the terms; where the parties are dealing for the first time and the seller refuses to carry any payment risk; and where the order is a low-value trial shipment where neither party wishes to incur bank charges.

The commercial weakness is obvious: most buyers resist paying a stranger upfront for goods they have not seen, so a seller in a competitive market often cannot demand it. Its value in this lesson is as a benchmark: the exporter's safest extreme, against which every other method is compared.

KEY CONCEPT

Open account: goods first, payment later

Open account is a payment arrangement in which the seller supplies goods before receiving payment, usually within an agreed credit period. In practice the contract might read: payment 30 days after the invoice date, or 60 days from the bill of lading date. Such periods are common commercial examples; the exact period is what the parties negotiate.

The sequence is the mirror image of advance payment.

1. The parties agree a contract with a stated credit period.
2. The exporter ships the goods and sends the commercial documents to the buyer, or the goods travel with a non-negotiable transport document such as a sea waybill, which releases cargo to the named consignee without presentation of an original bill and suits trusted open-account trade.
3. The importer receives the goods, sells or uses them, and pays within the agreed period.

For the importer, open account is the most comfortable arrangement. Goods arrive before any money leaves, and the buyer may even sell the goods first and pay the seller from the proceeds, with no charges for payment security and minimal administration.

For the exporter, open account is the most exposing arrangement on the spectrum. The seller carries the full payment risk for the whole credit period: the buyer might pay late, pay partially, or not pay at all. The exporter is also, in effect, financing the buyer, because its own money is tied up in the goods until payment arrives.

Open account terms are common where the parties have a long, reliable trading history, where buyer and seller belong to the same corporate group, or where a competitive market forces the seller to offer credit to win the order. Selling on credit is normal domestic business; across borders, distance and weaker practical recourse multiply the risk the exporter accepts.

KEY CONCEPT

Documentary collections: how they operate

A documentary collection is a payment arrangement in which banks handle commercial or financial documents according to collection instructions, without generally guaranteeing payment. Collections are governed by the International Chamber of Commerce's Uniform Rules for Collections, known as URC 522, in its 1995 revision.

The banks' role is often described with a simple image: under a collection, the banks are a postal service for documents. They pass the papers to the buyer under the exporter's instructions and forward the money back, but they never promise to pay; whether the exporter is paid depends entirely on the buyer's willingness and ability to pay or to accept a promise to pay.

A basic collection follows these steps.

1. The exporter ships the goods and gathers the documents: the commercial invoice, the transport document such as an ocean bill of lading, and any certificates the contract requires.
2. The exporter hands the documents to its own bank with a collection instruction stating exactly what must happen: release the documents only against payment or only against acceptance of a draft, and remit the proceeds.
3. The exporter's bank sends the documents to a bank in the buyer's country.
4. That bank contacts the buyer: the buyer must pay before receiving the documents, or accept a draft payable at a future date, depending on the instruction.
5. Once the buyer pays or accepts, the bank releases the documents.
6. The funds travel back along the banking chain to the exporter.

The power of a collection lies in control of the documents. An original ocean bill of lading is a document of title: whoever holds it controls the right to demand delivery of the goods. While the documents sit with the banks, the buyer cannot collect the cargo; the exporter gives up that control only when the buyer pays or accepts.

A collection therefore offers the exporter more protection than open account, but less than a letter of credit, because the banks supervise the exchange without committing to pay.

KEY CONCEPT

Documents against payment and documents against acceptance

Two arrangements sit inside every documentary collection: documents against payment and documents against acceptance. Both rest on an instrument called the bill of exchange.

A bill of exchange is a written, unconditional order directing one party to pay a specified sum of money to another party, either on demand or at a determinable future time. In a collection, the exporter draws a bill of exchange on the buyer for the invoice amount. A draft payable on presentation is a sight draft; a draft payable at a fixed future date is a time draft.

Documents against payment (D/P) is a documentary collection arrangement in which specified documents are released to the buyer against payment. The rule is simple: pay to get the documents. The buyer transfers the money, the bank releases the papers, and only then can the buyer claim the goods from the carrier. Within the collection family, this is the safer arrangement for the exporter: cash arrives before the buyer ever touches the cargo.

Documents against acceptance (D/A) is a documentary collection arrangement in which specified documents are released to the buyer against acceptance of a time draft. The rule is: sign a promise to pay later, and take the documents now. The buyer accepts the time draft, a formal undertaking to pay at maturity, and uses the documents to collect the goods immediately, while the exporter waits.

The difference is between keeping the goods as leverage and giving them away on a promise. Under D/A the buyer can sell the cargo and pay from the proceeds, which makes it attractive to buyers and gives sellers a competitive edge. But if the buyer fails to pay at maturity, the goods are already gone, and the exporter is left pursuing an unpaid claim. D/A is therefore always riskier for the exporter than D/P.

KEY CONCEPT

The letter of credit: purpose, parties, and operation

A letter of credit, often abbreviated to L/C and also called a documentary credit, is a bank's undertaking to honour a complying presentation of documents under the terms and conditions of the credit. Documentary credits are governed by the International Chamber of Commerce's Uniform Customs and Practice for Documentary Credits, UCP 600, which has applied since 1 July 2007 and contains 39 articles.

Two ideas in the definition make the letter of credit work.

1. It is an undertaking, not a promise from the buyer. If the beneficiary presents documents that comply with the credit, the issuing bank must pay. Credits are irrevocable, so the issuing bank cannot withdraw its commitment once the credit is issued (UCP 600 articles 2, 3, and 7).
2. It pays against documents, not goods. The credit is independent of the sales contract: the bank is not a party to it and takes no position on the goods (articles 4 and 5).

Four parties appear in a letter of credit transaction.

1. The applicant is the party requesting the issuance of the credit, usually the buyer or importer.
2. The issuing bank is the bank that issues the credit at the request of the applicant or on its own behalf.
3. The beneficiary is the party in whose favour the credit is issued, usually the seller or exporter.
4. The advising bank is the bank that advises the credit to the beneficiary, normally after checking its apparent authenticity.

The operation follows a recognisable sequence.

1. The sales contract states that payment will be by letter of credit.
2. The applicant applies to the issuing bank, which issues the credit in favour of the beneficiary.
3. The advising bank in the beneficiary's country checks the credit's apparent authenticity and advises it to the beneficiary.
4. The beneficiary checks the credit against the contract, produces the goods, and ships them.
5. The beneficiary presents the required documents within the validity of the credit.
6. The banks examine the documents; if the presentation complies, the issuing bank honours the credit and pays.

Letters of credit belong to the wider family of trade finance, which means the financial products and services used to facilitate domestic and international trade transactions.

KEY CONCEPT

Sight, usance, and confirmed letters of credit

Letters of credit come in variants that change when payment happens and how secure it is.

1. Sight credit. The issuing bank pays as soon as a complying presentation of documents is made. The beneficiary waits only as long as the banks need to examine the documents.
2. Usance credit. Payment comes at a later maturity; usance credits are also called term, deferred-payment, or acceptance credits. A typical arrangement might set maturity 90 days after the bill of lading date, giving the buyer a credit period in which to receive, sell, or process the goods before paying; the figure here is illustrative, and the exact maturity is whatever the credit states. The beneficiary enjoys the same bank undertaking, but the cash arrives later.
3. Confirmed credit. Confirmation answers a different question: can the beneficiary trust the issuing bank itself? A confirmed credit is one where a second bank, usually in the exporter's country, adds its own undertaking to pay against complying documents. If the issuing bank fails to pay, perhaps because of difficulties in the buyer's country, the confirming bank must still honour a complying presentation. Confirmation is used when the buyer's country or bank risk is high; an unconfirmed credit relies only on the issuing bank.
4. Revolving credit. Where the same parties ship regularly, a revolving credit reinstates itself up to a set amount or period instead of being issued fresh for every shipment, saving the cost and delay of repeated issuance.

Each layer of protection carries a price: opening fees, confirmation fees, and the waiting time of usance. The exporter's decision is therefore not only about safety but about whether the order's margin can carry the cost of the protection.

The most protective common arrangement combines these features: a confirmed irrevocable sight credit, where two banks stand behind payment and payment comes as soon as the documents comply.

KEY CONCEPT

The roles banks play in international trade payments

Banks appear throughout this lesson, and their roles deserve gathering in one place, because the role changes with the method.

1. Banks as payment channels. Under advance payment and open account, the banks simply move the money: they execute the buyer's transfer and credit the seller's account. They take no position on the transaction: if the goods disappoint or the payment never comes, the banks carry no responsibility.
2. Banks as document handlers. Under a documentary collection, the banks follow the collection instruction: they hold the documents, release them only against payment or acceptance, and remit the proceeds. They supervise the exchange of documents for money or promises, but they do not promise to pay.
3. Banks as committers of payment. Under a letter of credit, the issuing bank goes much further: it gives an irrevocable undertaking to honour a complying presentation. A confirming bank, where there is one, adds a second undertaking of its own. Here the bank's commitment is the whole point of the method.
4. Banks as authenticators. The advising bank checks the apparent authenticity of a credit before advising it to the beneficiary, so the exporter can have reasonable confidence that the instrument is genuine.

One principle governs every role: banks deal in documents, not goods. No bank in any of these arrangements inspects the cargo, tests the cocoa, or counts the drums; they check papers, match them against the credit or the collection instruction, and act on what the papers show.

The practical conclusion is to be clear about which role a bank is playing in any transaction. A bank that handles documents is not a bank that has committed money, and confusing the two roles is one of the costliest mistakes a new exporter can make.

KEY CONCEPT

Documents, discrepancies, and getting paid

Because banks act on documents, the documentary flow is where international payments are won or lost.

The documents banks commonly act on include the following.

1. The commercial invoice, stating the parties, the goods, the price, and the terms of sale.
2. Transport documents, above all the ocean bill of lading. Banks acting under a letter of credit require a clean bill of lading, one without remarks about the condition of the goods; a claused bill showing defects will normally be rejected. The bill must also match the credit's requirements.
3. Insurance documents, where the credit requires them.
4. Certificates: a certificate of origin stating where the goods come from; phytosanitary or health certificates for products of plant or animal origin; and inspection certificates from an independent inspection company attesting quality, quantity, or condition at loading.

When documents are presented under a letter of credit, the banks examine them on their face, meaning on what the documents themselves state, within a maximum of five banking days (article 14). If the presentation does not comply with the credit, the bank is not obliged to pay, and it must give a single notice of refusal listing all the discrepancies (article 16).

A discrepancy is any failure of the documents to match the credit: an invoice amount different from the credit amount, a bill of lading that is not clean, a certificate naming a different party from the one the credit states, or documents presented after the credit has expired.

The consequence is stark: a small clerical error can stop payment even though the goods themselves are perfect. The bank pays documents, not goods, so document accuracy is the price of the undertaking. Experienced exporters read the credit on arrival, produce every document to match its exact wording, and cure any discrepancy while the credit remains valid. Module 6 of this course examines trade documents and document accuracy in detail.

KEY CONCEPT

Comparing and choosing a payment method

No payment method is best in the abstract. The comparison works through four lenses at once.

1. Buyer risk. Advance payment is riskiest for the buyer and open account safest; collections sit in between, with D/A more exposing than D/P because the buyer receives the goods before paying. Under a letter of credit, the buyer's main exposure is paying against documents that may not reflect the true condition of the goods.
2. Seller risk. The exact mirror image: open account is riskiest for the seller and advance payment safest; collections sit in between; and a confirmed sight letter of credit is the closest a bank-intermediated method comes to eliminating non-payment risk for the exporter, at the cost of fees and strict documentary compliance.
3. Cost. A plain transfer under advance payment or open account is cheapest; a documentary collection carries moderate bank fees; a letter of credit is generally the most expensive to operate, and confirmation adds a further layer.
4. Complexity. Open account and advance payment need little paperwork beyond the commercial documents; collections add the collection instruction and drafts; letters of credit demand the most skill, because every document must match the credit precisely.

The factors that influence the selection of an appropriate method include the following.

1. The history and trust between the parties: a first transaction argues for more protection; years of clean performance argue for simpler terms.
2. Knowledge of the buyer's country and the soundness of its banks, which drives the demand for confirmation.
3. Bargaining power: a seller with scarce goods can insist on advance payment; a buyer with many alternative suppliers can demand open account.
4. The value of the order and the seller's cash-flow needs.
5. Willingness to pay bank fees and to manage documentary detail.

Finally, place payment within the contract as a whole. The previous lesson, Incoterms and Allocation of Responsibilities, introduced Incoterms 2020, the ICC rules stating who arranges carriage, who pays which costs, and where risk passes. Those rules deliberately do not govern payment. One sales contract sets both: it may name the Incoterms 2020 rule CIF and require payment by a confirmed irrevocable letter of credit. The Incoterm answers delivery, costs, and transit risk; the payment method answers when the money moves and on whose promise.

WORKED EXAMPLE

A first-time exporter secures payment with a confirmed letter of credit

A company managed by Adwoa produces shea butter near Tamale. A cosmetics ingredients distributor in Rotterdam places a first order: a container of shea butter in drums, shipped from Tema Port, worth 90,000 US dollars. All figures in this example are illustrative for teaching purposes.

The sales contract names the Incoterms 2020 rule CIF Rotterdam and requires payment by a confirmed irrevocable letter of credit payable at sight. Adwoa insists on this because the parties have never traded: the buyer refuses to pay in advance, and she refuses open account with a stranger. The letter of credit is the middle ground where a bank's undertaking replaces trust.

Step 1: The sales contract. The parties agree the goods, price, documents, and payment by confirmed irrevocable sight letter of credit.

Step 2: Issuance. The buyer, as applicant, applies to its bank, which issues the credit in favour of Adwoa's company, the beneficiary.

Step 3: Advice and confirmation. A bank in Ghana checks the credit's apparent authenticity and advises it to Adwoa. Because this is her first export and she knows little about the foreign issuing bank, she has required confirmation: the Ghanaian bank adds its own undertaking to pay against complying documents.

Step 4: Review before production. Adwoa checks every term of the credit against the contract before producing the goods; any term she cannot meet must be corrected now, by amendment, not after shipment.

Step 5: Shipment and documents. The drums travel by road to Tema Port for shipping to Rotterdam. She obtains a clean on-board ocean bill of lading, issues a commercial invoice matching the credit exactly, and obtains a certificate of origin and packing list.

Step 6: Presentation and a discrepancy. Her bank forwards the documents. Within the five banking days allowed for examination, a discrepancy is found: the certificate of origin names the buyer by its trading name, while the credit states its full registered name. A single notice of refusal lists every discrepancy.

Step 7: Correction and payment. While the credit remains valid, Adwoa obtains a corrected certificate and re-presents. The presentation complies, and the issuing bank honours the credit at sight, with the confirming bank standing behind that payment.

What does this example demonstrate?

The credit protected Adwoa because it replaced reliance on an unknown buyer with a bank's undertaking; but it paid only because the documents complied. A certificate with the wrong name nearly stopped a perfect shipment, and the banks never inspected the butter, only the papers.

Key lesson: for a first-time exporter, the letter of credit shifts payment risk away from the buyer; compliant documents are the price of collecting that protection.

WORKED EXAMPLE

Trust grows: from confirmed credit to open account

A manufacturer of industrial spare parts in Mumbai has supplied a maintenance company in Hamburg for several years. The same pair of companies can sit at different points of the payment spectrum at different stages of their relationship. All figures in this example are illustrative for teaching purposes.

Stage 1: First orders, a confirmed irrevocable sight letter of credit. The parties are strangers. The Hamburg buyer applies to its bank, the credit is issued in favour of the Mumbai manufacturer, and the manufacturer requires confirmation by its own bank in India, because it knows neither the buyer nor the buyer's bank. Each side's risk is contained: the supplier will be paid against complying documents by two banks, and the buyer knows its money leaves only when documents prove shipment.

Stage 2: After years of clean performance, a documentary collection with documents against payment. Letters of credit have cost fees on every order, so the parties move to D/P. The supplier keeps control of the documents, and therefore of the goods, until Hamburg pays. What the supplier gives up is real: the banks promise nothing, so if the buyer refuses to pay, the cargo sits at destination and the supplier must negotiate. What it gains is the saving of credit fees and simpler administration, on the strength of the buyer's now-proven record.

Stage 3: Deeper trust, documents against acceptance. To help the buyer's cash flow, the supplier ships under D/A with a time draft payable 60 days after sight. Hamburg takes the documents, installs the parts, and pays at maturity from its revenues. The supplier now extends credit across a border with no bank undertaking: the buyer's signature on the draft is the security.

Stage 4: Established partnership, open account. Payment is now due 30 days after invoice. There are no collection charges and no drafts. The supplier carries the full payment risk, but carries it knowingly, with the relationship's history as the real protection.

What does this example demonstrate?

At every step, risk moved from one party to the other. The confirmed credit placed almost all payment risk on the buyer's side of the see-saw; open account places almost all of it on the seller's. Each move traded security for lower cost or better competitiveness, and was possible only because performance had been proven.

Key lesson: payment terms are not fixed for life. They are adjusted as trust is earned, and each adjustment deliberately re-divides payment risk between exporter and importer.

WORKED EXAMPLE

The importer's dilemma: paying before the goods exist

A pharmaceutical distributor in Accra needs a consignment of products from a manufacturer near Mumbai with which it has never traded. The quotation carries a condition: full advance payment before production begins, for an order worth 50,000 US dollars. All figures in this example are illustrative for teaching purposes.

Step 1: The demand. The manufacturer wants cash with order: the distributor is a new customer in another country, and the manufacturer refuses to produce and ship against a stranger's promise to pay.

Step 2: The distributor's fears. From the buyer's chair, advance payment concentrates every risk on one side: the distributor would pay before the goods exist. If the manufacturer never produces, produces the wrong specification, or ships months late, the money is already gone, and recovering it means pursuing a foreign company under foreign procedures, while the advance has drained the distributor's working capital.

Step 3: The counter-proposal. The distributor proposes an irrevocable letter of credit available at sight. Its own bank becomes the issuing bank, undertaking to pay only when the beneficiary presents documents complying with the credit. The credit requires a clean on-board ocean bill of lading, a commercial invoice, a certificate of origin, and a certificate of inspection from an independent inspection company attesting the quality and quantity of the products at loading.

Step 4: Why this answers the fear. The distributor's money does not leave before the goods exist: payment becomes due only against documents proving the goods have been produced,

inspected, and shipped on board. Paying before the goods exist has become paying when documents prove shipment.

Step 5: The remaining exposure. The credit does not make the distributor safe from everything. The banks will never open the cartons; they pay documents, not goods. If the manufacturer ships products that satisfy the documents but disappoint in reality, remedies lie in the sales contract, not with any bank. The inspection certificate matters because it places an independent examination between the goods and the payment, reducing, though never eliminating, this risk.

Step 6: Agreement and completion. The manufacturer accepts: an issuing bank's undertaking is stronger security than a new customer's promise. The credit is issued, the goods are produced, inspected, and shipped, the documents comply, and payment follows at sight.

What does this example demonstrate?

Seen from the importer's side, the spectrum inverts: advance payment, the exporter's safest point, is the importer's most dangerous. A letter of credit does not remove the risk but shares it: the buyer pays only against proof of shipment; the seller is paid against documents rather than a promise.

Key lesson: whichever party moves first carries the risk, and the chosen payment method decides who moves first.

IMPORTANT NOTE

A letter of credit is not a guarantee

The most persistent mistake in trade finance is to describe a letter of credit as a guarantee of payment, or worse, as a guarantee of the trade. It is neither.

A letter of credit is an undertaking to pay against a complying presentation of documents. Every word matters. The undertaking belongs to banks, not to the transaction as a whole, and applies only when the documents comply. A letter of credit protects the seller only if the documents are right: the bank pays against documents, not against the actual goods.

It is equally wrong to expect the credit to protect the quality of the trade itself. The banks never inspect the cargo. Documents can comply perfectly while the goods are late, damaged, short-shipped, or not what the buyer imagined. If a beneficiary ships poor goods with impeccable papers, the banks must still pay, and the buyer's remedies lie in the sales contract against the seller, not against the bank. Buyers who need independent assurance arrange inspection certificates, which the credit can require: a protection the parties design into the transaction, not something the credit itself provides.

Do not confuse the documentary credit with the standby letter of credit, a guarantee-like instrument paid only when a stated default or non-performance occurs, against a stated document. The standby is not a payment mechanism for the goods; it sits behind a transaction

as backstop security, whereas the documentary credit is the engine that pays for the goods in the normal course of the trade.

The precise vocabulary protects real money: an undertaking against compliant documents, yes; a guarantee of the trade, never.

IMPORTANT NOTE

A bank in a documentary collection has not promised to pay

A new exporter hears that a bank is involved in the payment and concludes the money is safe. Under a documentary collection, that conclusion is wrong.

Under URC 522, the banks in a collection handle commercial or financial documents according to collection instructions without generally guaranteeing payment. They hold the papers, contact the buyer, release documents against payment or acceptance, and remit what they receive. They never step into the buyer's shoes. If the buyer refuses to pay under D/P, the banks will not pay from their own funds; they advise the exporter and act on the collection instruction. If the buyer accepts a time draft under D/A and then fails to pay at maturity, the banks still have not promised anything.

A collection buys supervision and document control, not payment security. Document control is worth having: the buyer cannot collect the goods without paying or accepting. But if the buyer declines, the exporter may face cargo sitting at a destination port far away, and settlement must come from the buyer or from the contract's terms.

This is the clean dividing line of the spectrum. Under a collection, the banks are a postal service for documents and never promise to pay. Under a letter of credit, the issuing bank does commit, but only against documents that comply exactly. Whenever a bank's involvement is described, the practical question is always the same: has this bank undertaken to pay, and against what?

IMPORTANT NOTE

Payment terms are commercial choices, not customs or legal requirements

Learners sometimes assume some authority prescribes how international traders must pay one another. No such rule exists. The payment method is whatever the parties negotiate into their sales contract: advance payment, open account, documentary collection, or letter of credit. The choice is a commercial decision reflecting bargaining power, trust, cost, and risk appetite.

Customs procedures do not choose or police the payment method. Customs authorities concern themselves with the goods crossing the border: declaration, classification, valuation, and applicable controls. How and when the buyer pays the seller is not a customs question.

Nor is any single method superior. Advance payment kills a sale where the buyer holds the bargaining power; open account is reckless with an unknown buyer and routine with a proven one. Parties also blend arrangements: part of the contract value paid in advance and the

balance against documents is a common negotiated compromise, because payment terms are flexible commercial material.

Two habits follow. First, write the payment method explicitly into the sales contract, alongside the Incoterms 2020 rule, so that delivery and payment responsibilities are both recorded and do not contradict each other. Second, revisit the method as the relationship develops: the method that suits a first shipment need not survive the tenth. Payment terms are negotiated instruments of risk allocation, and treating them as fixed formalities gives away either protection or competitiveness without noticing.

Practice questions (Lesson Checks)

Practice Question 1

An exporter in Tema has agreed to sell machinery parts to a buyer in another country that it has never dealt with before. The parties want a payment method under which the exporter ships the goods before payment, but the exporter's payment is supported by a bank's undertaking rather than by the buyer's promise alone.

Which option best fits this requirement?

1. Open account terms with payment due 30 days after the invoice date.
2. A documentary collection with documents against acceptance (D/A).
3. A confirmed irrevocable letter of credit payable at sight. ✓
4. Full advance payment before the goods are shipped.

Correct answer: Answer 3

Explanation

The correct answer is Answer 3.

Under a letter of credit, the issuing bank gives an irrevocable undertaking to honour a complying presentation of documents, and confirmation adds a second bank's undertaking, usually in the exporter's country. The exporter ships before payment and relies on banks, not on the buyer's promise alone.

Option 1 fails the requirement because open account leaves payment resting entirely on the buyer's willingness and ability to pay during the credit period; no bank undertaking exists.

Option 2 fails because the banks in a documentary collection handle documents without generally guaranteeing payment, and under D/A the buyer obtains the documents and the goods merely by accepting a promise to pay at maturity.

Option 4 would be very safe for the exporter, but it contradicts the stated requirement that the exporter ships before payment, and it is the method buyers most often refuse.

The takeaway: when goods must move first and payment must rest on a bank's undertaking, the letter of credit is the method designed for exactly that situation.

Practice Question 2

An exporter in Kumasi ships goods to an overseas buyer under a documentary collection with documents against acceptance (D/A). The buyer accepts the time draft, receives the documents from the bank, and collects the goods from the port.

Which statement best describes the exporter's position?

1. The exporter has been paid and now bears no further payment risk.

2. The banks handling the collection have guaranteed that the draft will be paid at maturity.

3. The buyer can hold the goods before payment is due, and the exporter now relies on the buyer paying at maturity. ✓

4. The buyer will not be able to collect the goods until the draft has actually been paid in cash.

Correct answer: Answer 3

Explanation

The correct answer is Answer 3.

Under documents against acceptance, the documents are released to the buyer against acceptance of a time draft. Acceptance is a formal promise to pay a stated sum at a determinable future time; it is not money. The buyer can therefore obtain the documents, collect the goods, and even sell them before maturity, while the exporter waits for payment. This is precisely why D/A is riskier for the exporter than D/P, where cash must be paid before the documents are released.

Option 2 fails because under URC 522 the banks in a documentary collection handle documents according to collection instructions without generally guaranteeing payment; no such promise exists.

Option 4 describes documents against payment, not documents against acceptance.

Option 1 ignores the credit period still running; nothing has been paid yet.

The takeaway: D/P means pay to get the documents; D/A means sign a promise to pay later to get the documents, and the exporter carries the risk that the promise is not kept.

Practice Question 3

A distributor in Accra imports a bottling machine under a letter of credit. The issuing bank pays against a complying presentation of documents. When the machine arrives, it is found to be poorly built, although every document was perfectly in order.

Which statement best explains this outcome?

1. The issuing bank failed in its duty because it should have inspected the machinery before paying.

2. The letter of credit should have guaranteed the quality of the goods as well as the payment.

3. The payment was invalid because banks are not permitted to pay when the goods are defective.

4. Banks deal in documents, not goods, so the bank's undertaking depended on the presentation of documents and did not extend to the condition of the machinery. ✓

Correct answer: Answer 4

Explanation

The correct answer is Answer 4.

A letter of credit is independent of the sales contract (UCP 600 articles 4 and 5). The banks examined the documents on their face, found a complying presentation, and honoured the credit exactly as its terms required. Whether the machinery inside the crate matches the documents is not a question the banks investigate; they never inspect the goods.

Option 1 fails because inspecting cargo is not a bank function under any payment method; banks check papers, not products.

Option 2 fails because a letter of credit is not a guarantee of the trade. It ensures payment against compliant documents and says nothing about quality. A guarantee-like instrument, the standby letter of credit, is a different tool that pays on a stated default and is not a payment mechanism for goods.

Option 3 fails because payment against complying documents is precisely what the credit required; the outcome is frustrating for the buyer, but the payment itself was correct.

The takeaway: document perfection and goods perfection are different things; a buyer protects quality through the sales contract and independent inspection certificates, not through the letter of credit.

Fact-check appendix (audit notes — not for entry)

The main international payment methods are advance payment, open account, documentary collection, and documentary credit; advance payment is safest for the exporter and riskiest for the importer, and open account is the reverse — source: research sheet trade-transport-standards.md, section 2 (payment methods and risk allocation).

Documentary collections are governed by the ICC Uniform Rules for Collections (URC 522, 1995 revision); banks handle documents against payment or acceptance but give no undertaking to pay, and payment depends entirely on the buyer — source: research sheet section 2.

D/P means documents are released to the buyer against payment, safer for the exporter; D/A means documents are released against acceptance of a time draft, with payment at maturity, riskier for the exporter because the buyer obtains the goods before paying — source: research sheet section 2.

Letters of credit are governed by ICC UCP 600 (Publication No. 600), effective 1 July 2007, in 39 articles; a credit is an irrevocable undertaking by the issuing bank to pay against a complying presentation (articles 2, 3, 7) — source: research sheet section 2.

The credit is independent of the sales contract; banks deal in documents, not goods (articles 4 and 5); banks examine documents on their face within a maximum of five banking days (article 14) and must give a single notice of refusal listing all discrepancies (article 16) — source: research sheet section 2.

A sight credit pays when complying documents are presented; usance/term/deferred-payment/acceptance credits pay at a later maturity (90 days after bill of lading date used as an illustrative example) — source: research sheet section 2.

A confirmed credit is one where a second bank, usually in the exporter's country, adds its own undertaking, used when the buyer's country/bank risk is high; an unconfirmed credit relies only on the issuing bank — source: research sheet section 2.

A revolving credit reinstates itself up to a set amount/period instead of being re-issued per shipment — source: research sheet section 2.

A standby letter of credit is a guarantee-like instrument paid on stated default/non-performance against a stated document, and is not a payment mechanism for the goods themselves — source: research sheet section 2.

A confirmed sight letter of credit is the closest to eliminating non-payment risk for the exporter, at the cost of bank fees and strict documentary compliance — source: research sheet section 2.

An ocean bill of lading is a receipt for the goods, evidence of the contract of carriage, and a document of title; possession of a duly endorsed bill controls the right to delivery — source: research sheet section 4 (transport documents).

Banks under a letter of credit require a clean bill of lading; a claused bill shows defects — source: research sheet section 4.

A sea waybill is non-negotiable, is not a document of title, releases cargo to the named consignee without presentation of an original, and suits trusted open-account trade — source: research sheet section 4.

Incoterms 2020 allocate transport tasks, costs and risk only; they do not govern transfer of ownership/title, payment terms, or breach remedies — source: research sheet section 1.

Non-preferential certificates of origin are traditionally certified by chambers of commerce under ICC World Chambers Federation guidelines — source: research sheet section 5.

Phytosanitary certificates cover plants and plant products; sanitary/health certificates cover products of animal origin — source: research sheet section 5.

Third-party or buyer-mandated inspection certificates attesting quality, quantity or condition at loading are common in commodity and bulk trades; their contents are contractual, not standardised — source: research sheet section 5.

A letter of credit is generally more costly and administratively complex than a documentary collection, which in turn costs more than a plain transfer — source: general business knowledge.

Credit periods such as 30 or 60 days after invoice (open account) and 60 days after sight (D/A draft) are illustrative commercial examples; actual periods are whatever the parties agree — source: illustrative figures for teaching purposes; open-account credit-period example per research sheet section 2.

The payment method is a commercial negotiation between the parties and is not prescribed by customs authorities, whose concerns are declaration, classification and valuation of goods — source: general business knowledge.

Definitions of the key terms (international trade payment, advance payment, open account, documentary collection, D/P, D/A, letter of credit, issuing bank, advising bank, beneficiary, applicant, bill of exchange, trade finance, payment risk) follow the lesson brief — source: lesson brief 4.4, key terms (curriculum database).

Module 4 Assessment — 12 questions

Enter via the instructor portal's Configure assessment step. Green ticks mark correct answers — do not enter them; enter options as-is.

MODULE 4 ASSESSMENT — International Trade Fundamentals
Draft for entry through the instructor portal (Configure assessment step). Twelve single-choice questions, three per lesson, in lesson order: Q1-3 test lesson 4.1, Q4-6 lesson 4.2, Q7-9 lesson 4.3, Q10-12 lesson 4.4. Each question carries 1 point; the platform default pass mark of 70 percent applies unless the owner changes it. All scenarios are illustrative for teaching purposes.

COVERAGE MAP
Q1 — lesson 4.1 — Objective: distinguish between importing, exporting, and transit trade; Important Note: the declared customs procedure, not physical arrival, decides the treatment.
Q2 — lesson 4.1 — Objective: describe the purpose and characteristics of transit trade; terms: duty suspension, the guarantee, the seal, and the single transit document.
Q3 — lesson 4.1 — Term: country of origin (origin is where goods are grown, produced, or substantially transformed, not where they are shipped from) and why duties, statistics, and preferential treatment turn on it.
Q4 — lesson 4.2 — Objective: explain how international buying and selling transactions are established; terms: pro forma invoice, purchase order, and the sequence from enquiry to agreement.
Q5 — lesson 4.2 — Objective: distinguish commercial sales contracts from government-level trade agreements; terms: rules of origin (wholly obtained, substantial transformation), preferential certificate of origin; Important Note: an agreement between countries does not exempt a shipment by itself.
Q6 — lesson 4.2 — Important Note: one shipment, several agreements — matching payment,

preferential duty, and carriage questions to the sales contract, the trade agreements between governments, and the contract of carriage.
Q7 — lesson 4.3 — Objective: explain the difference between the transfer of risk and the payment of transportation costs; the C-rule boundary applied before loading under CIF.
Q8 — lesson 4.3 — Objective: distinguish rules suitable for any mode from maritime-only rules; Important Note: FOB wrongly used for containerised cargo handed over at a terminal, for which FCA is correct.
Q9 — lesson 4.3 — Objective: describe the responsibilities associated with commonly used rules; term: EXW (export clearance as the buyer's obligation) and why plain EXW is impractical for international sales.
Q10 — lesson 4.4 — Objectives: explain documentary collections and the roles of banks; terms: D/P, the ocean bill of lading as document of title; Important Note: a bank in a documentary collection has not promised to pay.
Q11 — lesson 4.4 — Terms: D/P versus D/A, the bill of exchange and acceptance of a time draft; comparison of payment methods by seller risk.
Q12 — lesson 4.4 — Objective: describe the purpose and operation of letters of credit; terms: complying presentation, discrepancy, banks deal in documents not goods.

Question 1 (tests lesson 4.1)

1

Two containers are discharged from the same vessel at Tema Port on the same day. One is declared for home consumption in Ghana; the other is declared under transit to a buyer in Niger. The two consignments travelled in the same way, arrived at the same berth, and are of similar value.

Which factor decides that the two consignments receive different customs treatment in Ghana?

1. The value of the goods: only consignments above a certain value may move as transit, while lower-value goods must always be entered for home consumption.

2. The port of arrival: goods that physically land at a Ghanaian port are imports into Ghana, so both containers should in principle be treated alike.

3. The customs procedure each consignment is declared under: the first is entered for home consumption and joins Ghana's market, while the second crosses under transit arrangements without being entered for consumption. ✓

4. The nationality of the carrier: goods carried by a Ghanaian haulier become imports, while goods carried by a foreign haulier remain transit goods.

Correct answer: Answer 3

Explanation

The correct answer is Answer 3.

The lesson's central distinction is that goods arriving at a country's port are not automatically that country's imports; the test is the customs procedure the goods are declared under, not the geography. The first container is entered for home consumption: duties and taxes are assessed on it, and once released it joins the local market as an import. The second is declared under a transit arrangement: it is never entered for consumption in Ghana, moves sealed and documented under customs control along the corridor, and its duties are secured by a guarantee and collected at the destination.

Answer 2 is the exact misconception the lesson dismantles: physical arrival at a port does not make goods imports, otherwise every landlocked neighbour's cargo would be taxed twice and the coastal ports would be useless to it. Answer 1 invents a value threshold; nothing in the lesson treats value as the deciding factor. Answer 4 invents a carrier-nationality test; the haulier's identity has no bearing on the procedure the goods are declared for.

The takeaway: the declaration decides the treatment, so the trade type of every movement must be fixed, and declared, before the goods arrive.

Question 2 (tests lesson 4.1)

2

A container of machinery arrives at Tema Port declared under transit to Ouagadougou. Customs seals it, the single transit document is lodged, and the container is released northward along the corridor without any import duty being collected. A colleague asks why Ghana collects no duty on goods merely passing through its port, and what would happen if such a container disappeared into the local market.

Which option best answers the colleague?

1. The duty is not waived but suspended: it is collected where the goods will actually be consumed, and a guarantee covers the duties at risk, so if the container disappeared into the local market the passing country's customs could recover the duty from the guarantor. ✓

2. Duties are genuinely waived on transit goods; Ghana is compensated by the port and haulage fees it earns, and if the container disappeared the shipping line would be billed for the lost duty.

3. Transit goods pay a reduced rate of duty at the border where they enter the transit country, with the balance collected at the destination.

4. No duty is owed on transit goods anywhere: because the goods have already crossed one border, the destination country must release them without assessing import duties.

Correct answer: Answer 1

Explanation

The correct answer is Answer 1.

Transit exists to solve a geography problem. Several of Ghana's neighbours, such as Burkina Faso, Mali, and Niger, have no seaport, so their overseas goods must arrive at a coastal port and cross one or more neighbouring countries. If the passing country assessed import duties, the goods would be charged twice, once in transit and again at the real destination, and the coastal ports would be useless to landlocked traders. The answer is duty suspension: the goods cross under customs control without being entered for consumption, and the duties they owe are collected where they will actually be consumed. The movement travels with four ingredients: a single transit document (in West Africa, the ISRT triptyque), a customs seal, a guarantee covering the duties at risk, and prescribed routes and time limits. The guarantee answers the colleague's second question: if the goods disappear into the market of a passing country, its customs can recover the duty from the guarantor, and the guarantee is released only when the transit is properly closed at destination.

Answer 2 is wrong because the fees Ghana earns do not replace the duty, and the shipping line is not the party standing behind the guarantee. Answer 3 invents a border duty that never arises in the transit country. Answer 4 erases the duty altogether; it is owed, and the destination country assesses and collects it on import.

The takeaway: transit suspends duty, it never cancels it, and the guarantee is what keeps the suspension safe.

Question 3 (tests lesson 4.1)

3

A Ghanaian importer buys a consignment of rice grown and milled in Thailand. The rice is carried first to Singapore, where it is shifted to another vessel, and is then shipped onward to Tema, where it will be entered for home consumption.

Which statement correctly identifies the country of origin and its significance?

1. Singapore, because the country from which goods are last shipped before import is treated as their origin, so the declaration and the certificate of origin should name Singapore.

2. Thailand, because origin is the country where the goods were grown, produced, or substantially transformed, not where they were shipped from; duties, trade statistics, and preferential treatment are decided against the origin, which the certificate of origin attests. ✓

3. Ghana, because goods take the origin of the country where they are entered for consumption once the import declaration is lodged.

4. Either Thailand or Singapore, because origin is a labelling choice the importer may make to suit whichever document is easiest to obtain.

Correct answer: Answer 2

Explanation

The correct answer is Answer 2.

The country of origin is the country in which goods are considered to have originated under applicable rules of origin: where they were grown, produced, or substantially transformed. The rice was grown and milled in Thailand, so its origin remains Thailand even though it was transhipped in Singapore, exactly as the lesson's own illustration states. Origin matters because duties, trade statistics, and preferential treatment are all decided against it, and the certificate of origin in the shipment file is the document that attests it.

Answer 1 mistakes the shipment point for the origin; the port a consignment is forwarded from says nothing about where the goods were produced. Answer 3 confuses origin with destination: the country of destination is where the goods are intended to be delivered and entered, and entering them there does not rewrite where they came from. Answer 4 treats origin as a matter of convenience, but origin is determined under the applicable rules of origin, not chosen by the importer; a wrong origin on a certificate can change the duty, which is why origin documents carry financial weight.

The takeaway: origin follows production, not the shipping route, and every document in the file must state it consistently.

Question 4 (tests lesson 4.2)

4

A buyer in Accra sends an enquiry to a machinery supplier abroad and receives a quotation followed by a document that sets out the supplier's proposed goods, prices, and transaction terms. The buyer wants to use this document to confirm the deal internally, arrange funding and permits, and check every proposed condition before its own organisation is committed to buy.

Which statement best describes the document's role?

1. It is the pro forma invoice: a preliminary document outlining the proposed goods, prices, and transaction terms before any final sale or shipment, which commits neither party; the buyer's commitment normally comes later, with the purchase order raised after internal approval. ✓

2. It is the commercial invoice, and its issue makes the sale binding and starts the payment period running.

3. It is the purchase order, the seller's document that commits the buyer to buy and obliges immediate shipment.

4. It is a draft contract of carriage, which the freight forwarder must confirm before any goods can be booked onto a vessel.

Correct answer: Answer 1

Explanation

The correct answer is Answer 1.

An international transaction hardens step by step: enquiry, quotation, then the pro forma invoice, a preliminary document outlining the proposed goods, prices, and transaction terms before any final sale or shipment. It is a quotation in invoice form, and its purposes match the buyer's needs in the scenario exactly: confirming the deal internally, arranging funds or permits, and checking that every proposed condition is acceptable. It commits neither party. The buyer's commitment normally arrives later, with the purchase order raised only after internal approval, because the purchase order commits the organisation to buy. The transaction is established when the seller confirms that order or the parties sign a fuller contract.

Answer 2 confuses the pro forma with the commercial invoice, which states the goods, quantities, prices, and terms of a concluded sale and travels with the shipment; it does not create the deal. Answer 3 reverses the parties: the purchase order is the buyer's document, issued by the buyer, which is precisely why it waits for the buyer's internal approval. Answer 4 belongs to the wrong document family altogether; carriage documents govern the carrier's work, not the formation of the sale.

The takeaway: the transaction exists commercially before the goods move — by the time a container is stuffed, everything about the sale should already be agreed in writing.

Question 5 (tests lesson 4.2)

5

A trader in Ghana buys packaged rice from a mill in a country outside ECOWAS and only repacks it into smaller bags at a warehouse in Tema before sending it to a buyer in a neighbouring ECOWAS member state. The trader asks for the regional preferential certificate of origin for the consignment, arguing that the goods left Ghana for a member state under a regional trade arrangement, so they must qualify.

Which statement best evaluates the trader's position?

1. The trader is right: goods dispatched from an ECOWAS member state to a buyer in another member state qualify for the scheme's preferential treatment, whatever their processing history.

2. The trader is right, provided the repacking in Tema was done carefully and the new bags are properly labelled.

3. The trader is wrong: preferential qualification requires the goods to be wholly obtained in, or substantially transformed in, the claiming country; goods produced elsewhere and merely repacked or passed through do not qualify, and issuing a preferential certificate for them would be a false declaration. ✓

4. The trader is wrong, because agricultural products such as rice can never qualify under a regional trade arrangement, whatever their processing history.

Correct answer: Answer 3

Explanation

The correct answer is Answer 3.

An agreement between countries does not exempt a shipment by itself. Three requirements stand between the agreement on paper and a reduced duty at the border: the agreement must cover the goods; the goods must genuinely qualify under its rules of origin; and the claim must be evidenced by the required preferential certificate of origin, issued through the proper channel. The origin rules recognise two core tests: wholly obtained goods, and goods substantially transformed in the claiming country. The lesson is explicit that goods produced elsewhere and merely repacked or passed through do not qualify, however they are described. Repacking foreign rice in Tema is not substantial transformation, so the goods do not qualify, and the certificate the trader wants cannot properly be issued. The integrity edge applies in full: a certificate of origin must reflect genuine qualification, and obtaining one for goods that do not qualify is a false declaration with consequences that outlast any single shipment.

Answer 1 treats dispatch from a member state as qualification, but the origin rules, not the dispatch point, decide. Answer 2 invents a standard of careful repacking; the obstacle is the processing, not the packing. Answer 4 invents a product exclusion that does not exist; rice processed substantially within a member state can qualify — this rice simply did not.

The takeaway: the agreement opens the door, the goods must fit through it, and the certificate is the key.

Question 6 (tests lesson 4.2)

6

A single international shipment gives rise to three questions: when the buyer must pay the seller; whether the goods qualify for preferential duty treatment at the border under a trade agreement between the two countries; and which terms govern the movement of the goods as agreed between the shipper and the carrier.

Which option correctly assigns each question to the agreement that answers it?

1. Payment belongs to the sales contract; preferential duty belongs to the trade agreements between the governments, applied through the goods' origin and documents; and the carriage terms belong to the contract of carriage between the shipper and the carrier. ✓

2. Payment belongs to the trade agreements between the governments; preferential duty belongs to the sales contract; and the carriage terms belong to the sales contract as well, since the seller prepares every document in the file.

3. Payment belongs to the contract of carriage; preferential duty belongs to the trade agreements; and the carriage terms are set by the destination country's customs authorities.

4. Payment belongs to the sales contract; preferential duty belongs to the contract of carriage; and the carriage terms are fixed by the trade agreements, because governments regulate carriers.

Correct answer: Answer 1

Explanation

The correct answer is Answer 1.

A single shipment rests on several agreements at once, and the lesson's final note teaches the trader to hear which agreement a question belongs to. The sales contract, binding only the buyer and the seller who signed it, governs the commercial deal: goods, price, delivery terms, payment terms, and documents — so when the buyer must pay lives there. The trade agreements between governments govern the conditions at the border: whether the goods may receive preferential duty treatment, under what origin rules and what documentation — neither the buyer nor the seller signed them, and they promise nothing about anyone's payment. The contract of carriage, between the shipper and the carrier, governs the movement itself: what is carried, to which port or place, and under what terms — the carrier is not a party to the sales contract and does not care when the buyer pays.

Answer 2 assigns payment to the layer that never touches it and hands the sales contract the border's job. Answer 3 makes the carrier the creditor of the price and gives carriage terms to customs, which is a party to no commercial agreement at all. Answer 4 gives preferential duty to the carriage contract and lets governments fix private carriage terms.

The takeaway: payment lives in the sales contract, the border lives in the governments' agreements, and the movement lives in the contract of carriage.

Question 7 (tests lesson 4.3)

7

A buyer in Hamburg purchases a consignment of cocoa products on CIF Hamburg, Incoterms 2020 terms from a seller in Tema. The seller clears the goods for export, contracts and pays the ocean freight to Hamburg, and obtains the specified minimum insurance for the buyer's risk. While the container is still standing in the terminal at Tema, before it is loaded on board the vessel, it is damaged by fire.

Which statement best describes who bears the loss?

1. The buyer bears the loss, because the seller has paid the freight to Hamburg and arranged the insurance, so the goods were the buyer's concern from the moment the sale was agreed.

2. The buyer bears the loss, because under a CIF sale risk passes when the container is handed to the freight forwarder at the terminal.

3. The insurance company bears the loss, because the seller's insurance obligation under CIF covers the goods from the seller's factory gate onwards.

4. The seller bears the loss, because under CIF risk passes only when the goods are on board the vessel at the port of shipment; damage in the terminal before loading is still at the seller's risk, even though the seller's freight obligation runs to Hamburg. ✓

Correct answer: Answer 4

Explanation

The correct answer is Answer 4.

Under CIF the seller contracts and pays the freight to the named destination port and must obtain the specified minimum insurance for the buyer's risk, but the risk itself passes when the goods are on board the vessel at the port of shipment — Tema, in this scenario. While the container stands in the terminal before loading, it is still at the seller's risk, whatever the seller's freight obligation says. This is the C-rule principle read from its other side: the cost line and the risk line are two separate lines, and under CFR and CIF they do not sit together. Paying for carriage to Hamburg does not put the destination-side risk on the seller, and equally it does not put the pre-loading risk on the buyer.

Answer 1 states the classic trap in full: freight paid to destination is a cost obligation, not an early transfer of risk. Answer 2 invents a transfer point; handover to the first carrier is where risk

passes under CPT and CIP, the any-mode counterparts of CFR and CIF, not under CIF itself. Answer 3 misreads the insurance: the CIF insurance duty exists for the buyer's risk from shipment onwards; it does not extend back over the seller's pre-loading risk, and it does not decide whose loss it is — the rule does.

The takeaway: quote the C rule with its edition, then ask two questions — where do costs run, and where does risk pass.

Question 8 (tests lesson 4.3)

8

An exporter of shea butter sells a container load to a buyer in Europe. The container will be stuffed and handed over to the buyer's nominated carrier at a terminal in Tema before the vessel arrives, the normal pattern for containerised shipments. A colleague proposes the clause FOB Tema, Incoterms 2020, reasoning that the goods are travelling by sea.

Which option best evaluates the colleague's proposal?

1. The proposal is correct, because FOB is the standard rule for sea carriage and the destination is a European port.

2. The proposal is flawed: FOB requires delivery on board the vessel at the port of shipment, while containerised cargo handed to the carrier at a terminal before the vessel arrives matches FCA, under which the seller delivers the goods, cleared for export, to the buyer's nominated carrier at the named place. ✓

3. The proposal is flawed: the parties should use EXW, because handing goods over at a terminal is the same as making them available at the seller's premises.

4. The proposal is flawed only because the named place is incomplete; FOB would be correct once the destination port in Europe is named instead of Tema.

Correct answer: Answer 2

Explanation

The correct answer is Answer 2.

The eleven Incoterms 2020 rules divide into two families: four rules intended only for sea and inland waterway transport (FAS, FOB, CFR, CIF) and seven suitable for any mode (EXW, FCA, CPT, CIP, DAP, DPU, DDP). But choosing the right rule asks more than whether the goods will touch the sea. FOB requires delivery on board the vessel at the port of shipment, and containerised cargo is normally handed to the carrier at a terminal before the vessel arrives. The lesson's drafting note is direct: choosing FOB for a container handed over at a terminal writes an obligation into the contract that does not match the physical operation. FCA describes exactly

the delivery that actually happens: the seller delivers the goods, cleared for export, to the carrier nominated by the buyer at the named place, and the buyer arranges and pays the main carriage.

Answer 1 treats the sea leg as decisive, but the rule must match the manner of delivery, not merely the destination. Answer 3 reaches for the wrong end of the scale: EXW would leave collection, loading, and export clearance to the buyer from the seller's premises, a very different allocation. Answer 4 misreads the named place; FOB's named place is the port of shipment, and naming a destination port does not repair the mismatch.

The takeaway: identify where and how the goods will actually be delivered, choose from the family that describes that delivery, and always cite the edition.

Question 9 (tests lesson 4.3)

9

An engineering company in Accra buys one industrial machine from a manufacturer in Mumbai on EXW Mumbai (the seller's works), Incoterms 2020 terms. After signing, the buyer discovers that it must arrange collection from the factory, inland transport across India, and the export formalities in India before the machine can leave.

Which option best evaluates this position?

1. The parties have made an error that the law will correct: under every Incoterms rule the seller must clear the goods for export, so the seller must perform the Indian export formalities after all.

2. The outcome follows from EXW: export clearance is the buyer's obligation under this one rule — its great practical weakness, because the buyer must complete export formalities in a country where it does not operate — which is why plain EXW is widely regarded as impractical for international sales and a rule such as FCA usually fits better. ✓

3. The buyer can avoid the export formalities by instructing a freight forwarder to declare the machine as the forwarder's own goods.

4. EXW passes the cost of export clearance to the buyer, but the export clearance itself remains the seller's obligation; only the paperwork's expense is the buyer's.

Correct answer: Answer 2

Explanation

The correct answer is Answer 2.

EXW is the seller's minimum: the seller produces, packs, and places the goods at the buyer's disposal at its premises, and from that point the buyer assumes most transportation responsibilities and risks. Export clearance is the buyer's obligation under EXW — the only one of the eleven rules under which the seller does not clear the goods for export — so the buyer must complete export formalities in a country where it does not operate. That allocation is exactly what the rule provides, and it is why the lesson calls export clearance the rule's great practical weakness and regards plain EXW as impractical for most international sales. Where the buyer cannot take on export clearance, a rule such as FCA usually fits better: the seller delivers the goods, cleared for export, to the carrier the buyer nominates, while the buyer keeps control of the main carriage.

Answer 1 states the general pattern and forgets its exception; export clearance falls to the seller under every rule except EXW, and no law rewrites the rule the parties chose. Answer 3 invents an unlawful workaround; a declaration must describe the true position. Answer 4 splits an obligation that cannot be split: under EXW the export formalities, not merely their cost, belong to the buyer.

The takeaway: choose the rule whose obligations a party can actually perform, and read the three letters carefully before signing.

Question 10 (tests lesson 4.4)

10

A first-time exporter in Takoradi agrees a sale with an overseas buyer who refuses to pay in advance. The exporter will not trade on open account with a stranger, so the parties agree a documentary collection with documents against payment (D/P), the document set including an original ocean bill of lading.

Which statement best describes what this arrangement gives the exporter?

1. A commitment from the collecting bank to pay the invoice if the buyer does not, because a bank that accepts a collection instruction steps into the buyer's place.

2. Payment on shipment, because the exporter's bank pays against the bill of lading and recovers the funds from the buyer's bank afterwards.

3. Transfer of the seller's ownership in the goods to the banks, which hold the cargo as the seller's agents until payment arrives.

4. Control of the documents, and through them of the goods, until the buyer pays — the original ocean bill of lading being a document of title — but no promise from any bank to pay, since banks in a collection handle documents without generally guaranteeing payment. ✓

Correct answer: Answer 4

Explanation

The correct answer is Answer 4.

A documentary collection works through document control. The exporter ships the goods and hands the documents — commercial invoice, transport document, certificates — to its bank with a collection instruction; the documents travel to a bank in the buyer's country; and the buyer must pay before the bank releases them. Because the original ocean bill of lading is a document of title, whoever holds it controls the right to claim delivery: while the documents sit with the banks, the buyer cannot collect the cargo. That is what D/P gives the exporter — more protection than open account. What it does not give is a promise: the banks handle the documents without generally guaranteeing payment, acting, in the lesson's image, as a postal service for documents. If the buyer refuses to pay, the banks will not pay from their own funds, and the exporter may face cargo sitting at a distant destination.

Answer 1 crosses the clean dividing line the lesson draws: only under a letter of credit does a bank commit, and then against complying documents, never by stepping into the buyer's place. Answer 2 invents financing the banks do not provide; the exporter's bank remits what it receives. Answer 3 confuses control of delivery with ownership, which the contract and the law governing it decide.

The takeaway: a collection buys supervision and document control, not payment security.

Question 11 (tests lesson 4.4)

11

An exporter ships goods under a documentary collection with documents against acceptance (D/A), the time draft payable 60 days after sight. The buyer accepts the draft, takes the documents from the bank, collects the goods from the port, and sells them. At maturity the buyer does not pay. The exporter asks the banks in the collection chain to pay the invoice or to recover the goods.

Which statement best describes the exporter's position?

1. The banks must pay the invoice, because releasing the documents against the accepted draft transferred the buyer's debt to the collecting bank.

2. The acceptance of the draft was itself payment, so the exporter has no remaining claim against the buyer.

3. The banks have no payment obligation: under a collection they handle documents without generally guaranteeing payment, the exporter's security was the buyer's promise to

pay at maturity, and with the goods already sold the exporter is left pursuing an unpaid claim against the buyer. ✓

4. The banks must recover the goods, because the buyer's acceptance of a draft gives the exporter a claim on the cargo until the draft is paid at maturity.

Correct answer: Answer 3

Explanation

The correct answer is Answer 3.

Under D/A the documents are released against acceptance of a time draft — the buyer's formal undertaking to pay at maturity. Acceptance is a promise, not money, and the buyer can take the documents, clear the goods, and even sell them long before maturity. That is precisely the difference the lesson draws between D/P (pay to get the documents: cash before cargo) and D/A (sign a promise to get the documents: the goods go on a promise), which is why D/A is always riskier for the exporter. Here the promise failed. Under a collection the banks handle documents according to the collection instruction without generally guaranteeing payment; they never step into the buyer's shoes, and they still have not promised anything after a default at maturity. The exporter's security was the buyer's signature on the draft, and with the cargo sold the realistic course is to pursue the buyer for the unpaid claim.

Answer 1 assigns the banks a commitment they never gave; that kind of commitment exists only under a letter of credit. Answer 2 mistook acceptance for settlement; if acceptance were payment, there would be nothing for the draft to promise at maturity. Answer 4 invents a claim on the cargo that no arrangement in the lesson provides.

The takeaway: D/P keeps the goods as leverage; D/A gives them away on a promise, and the exporter carries the risk that the promise is not kept.

Question 12 (tests lesson 4.4)

12

An exporter ships goods of excellent quality under a letter of credit and presents its documents within the credit's validity. During examination, the banks find that the certificate of origin names the buyer by its trading name, while the credit states the buyer's full registered name. The exporter protests that the goods themselves are perfect and demands immediate payment.

Which statement best explains the position?

1. The banks must pay, because the quality of the goods is what ultimately secures payment under a letter of credit.

2. The banks must pay, because a difference between a trading name and a registered name is commercially minor and can never affect payment.

3. The banks are not obliged to pay: they examine the documents on their face against the terms of the credit, a discrepancy frees them from the obligation to honour, and the exporter's practical remedy is to correct the document and re-present while the credit remains valid. ✓

4. The banks must pay and recover the amount from the buyer afterwards, because the buyer received the goods and the letter of credit ultimately charges the buyer for whatever is shipped.

Correct answer: Answer 3

Explanation

The correct answer is Answer 3.

A letter of credit is an undertaking to honour a complying presentation of documents. The banks examine the documents on their face — on what the documents themselves state — within a maximum of five banking days, and if the presentation does not comply with the credit, the bank is not obliged to pay; it must give a single notice of refusal listing all the discrepancies. A discrepancy is any failure of the documents to match the credit, and the lesson's own example is exactly this one: a certificate naming a party differently from the way the credit names it. The principle runs in both directions: banks deal in documents, not goods, so perfect goods with flawed papers are as far from payment as flawed goods with perfect papers. The practical remedy is the exporter's: cure the discrepancy and re-present while the credit remains valid.

Answer 1 inverts the whole instrument: the quality of the goods secures nothing under a credit, just as the credit guarantees nothing about quality. Answer 2 asks the banks to weigh commercial significance, but compliance is judged on the documents against the credit's wording, not on materiality. Answer 4 invents an arrangement that contradicts the credit's independence from the sales contract.

The takeaway: document accuracy is the price of the undertaking — read the credit on arrival and produce every document to match its exact wording.